



Annual Activity Report 2024

annexes

DG DEFIS

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ANNEX 1: Statement of the Director(s) in charge of Risk Management and Internal Control

"I declare that in accordance with the Commission's communication on the internal control framework ⁽¹⁾, I have reported my advice and recommendations on the overall state of internal control in the DG to the Director-General. I hereby certify that the information provided in the present annual activity report and in its annexes is, to the best of my knowledge, accurate and complete."

Brussels, 31 March 2025.

e-signed

Christine Bernot

Acting Director Resources and General Affairs

⁽¹⁾ C(2017)2373 of 19.04.2017.

ANNEX 2: Performance tables

General objective 1: A European Green Deal

Impact indicator 1: Greenhouse gas emissions

Source of the data: European Environmental Agency (Eurostat online datacode: sdg_13_10)

Baseline (2018)	Interim Milestone ⁽²⁾ (please add as many columns as the number of defined milestones)		Target (year + explanation how the target was agreed) (2030)	Latest known results (2022)
	(2020)	(year)		
-23%	-20%	...	-55% of net GHG emissions	-31%

Impact indicator 3: Climate mainstreaming in the European Union budget

Source of the data: European Commission Draft Budget Reports

Baseline (2014-2020, previous MFF) ⁽³⁾	Interim Milestone ⁽⁴⁾ (please add as many columns as the number of defined milestones)		Target (2021-2027)	Latest known results (2024)
	(2022)	(year)		
21%	30%	...	30%	34.8% ⁽⁵⁾

Specific objective 1.1: *Reliable data and services of the EU Space Programme are cornerstones for the monitoring of, and transition to climate-neutrality and ecological sustainability*

Related to spending programme(s):

EU Space Programme

Result indicator: Number of users of the Copernicus Climate Change Service

Source of the data: ECMWF, <https://climate.copernicus.eu/>

Baseline 2019) ⁶	Interim Milestone (please add as many columns as the number of defined milestones)		Target (2024)	Latest known results (Q3 2024)
	(2022)	(year)		
28 000	70 000	...	80 000	326 276

⁽²⁾ In case of short- or medium-term objectives (all targets are set to be achieved in less than 3 years) the milestones column should be deleted from the table.

⁽³⁾ Change from yearly basis to duration basis

⁽⁴⁾ In case of short- or medium-term objectives (all targets are set to be achieved in less than 3 years) the milestones column should be deleted from the table.

⁽⁵⁾ Estimate based on commitment appropriations

⁽⁶⁾ The Copernicus Climate Change Service started operations in June 2018. The baseline is based on the number of registered users available by 2019.

Output indicator: Number of EGNOS-based precision approach procedures published (both APV-I and LPV-200) ⁷

Source of the data: European Satellite Services Provider

Baseline (2020) ⁸	Interim Milestone (please add as many columns as the number of defined milestones)		Target (2024)	Latest known results (2024)
	(2022)	(year)		
562	Increase	...	1 150 Figure approx. corresponds to the total number of instrumental runway ends in EU Member States, including in Norway and Switzerland	1006

Main outputs in 2024:

New policy initiatives

Output	Indicator	Target	Latest known results (situation on 31/12/2024)
Launch procurement for development of a PEFCR for space	Publication of the call	2024	Published on 24 April and contract awarded in July 2024.

External communication actions

Output	Indicator	Target	Latest known results (situation on 31/12/2024)
Organisation of SDA expert group meetings and the related sub-group meetings	- Number of meetings of the main expert group	- 2 meetings	- 1 meeting for the space-subgroup
	- Number of meetings of subgroups (per subgroup)	- 3 meetings	

⁽⁷⁾ This indicator is also be reported under the Programme Statement for the EU Space Programme, as part of the annual draft general budget of the European Union.

⁽⁸⁾ Please note that the baseline value for some DEFIS indicators which have their legal base under the EU Space Regulation and European Defence Fund proposals, or which were set out in the DEFIS Strategic Plan (2020-2024) with the creation of the DG DEFIS in January 2020, is set at 2020. In such cases, the earliest known values from year 2020 are set as the baselines and the latest available results by 2020 are reported, by end of 2020. Whereas indicators which were developed under the previous MFFs and under existing programmes which are now part of the DEFIS portfolio's, may present baseline values which started earlier than in 2020.

Output	Indicator	Target	Latest known results (situation on 31/12/2024)
Touring of “Copernicus Earth Art” exhibition	- Number of events organised - Number of attendees [physical and online]	- 6 locations in different EU Member States (geographically balanced) - 10 000 attendees	- 3 locations in different EU Member States (LV, CZ, BE) as well as Azerbaijan, estimated total attendees 59 548 (excluding Azerbaijan) - LV Space Education Centre: 44 929 attendees - CZ Pevnost Poznani Science Center : 4 619 visitors - BE Berlaymont : circa 10 000 attendees
Promotion of EU Space based opportunities for agriculture: - Berlin International Green Week, Berlin (DE) - International Agriculture Show, Paris (FR)	- Number of events organised - Number of attendees [physical and online]	- Stands and training sessions at 2 agriculture related events in the EU - 30 000 attendees	- 3 events: - Berlin International Green Week, Berlin (DE) (300,352 attendees) - International Agriculture Show, Paris (FR) (600,000 attendees) - Agriculture Fair, Libramont (BE) (2 000 attendees)
Organisation of the EU Space Week 2024 under the Council’s Presidency	Number of attendees [physical and online]	2 500 attendees (800 onsite + 1 700 online)	- 750 attendees (300 onsite + 450 online)
Animation of a webpage dedicated to DG DEFIS contribution to the Green Deal objective	Number of visits	5 000 visits	- 1 714 544 total visits to the Copernicus.eu site, of which approximately 428 636 on pages dedicated to DG DEFIS contribution to the EU Green Deal objective - 722 unique visits to DG DEFIS corporate website dedicated to the contribution to the Green Deal objective

Output	Indicator	Target	Latest known results (situation on 31/12/2024)
Promoting the European Green Deal priority on social media accounts	- Number of impressions - Number of engagements - Followers' growth rate 'Percentage of audience reached having a more positive opinion of the post's topic as a result of engaging with the Commission or its content on social media	- 30.3 million impressions - 950 000 engagements - 27 000 new followers - 70% of the audience	- 24.4 million impressions on EC-managed social media accounts - 735,000 engagements - 316 400 followers
Other important outputs			
Output	Indicator	Target	Latest known results (situation on 31/12/2024)
2023 Copernicus European State of the Climate Report	Publication of the report	Q2 2024	- published on 22 April 2024
8th issue of the EU Copernicus Ocean State Report (OSR 8)	Publication in the "Science" Journal State of the Planet special issue	Q4 2024	- published on 30 September 2024
Pilot project study for high cadence monitoring for the EU Green Deal relating to EU Space Programme (Copernicus)	Final Report	Q4 2024	- Approved in October 2024 - Being published by the Publication Office

General objective 2: A Europe fit for the digital age

Impact indicator 8: Uptake of space products from the European Space Programme⁹

This indicator is measured in two parts: (1) the percentage of the EU population that have a Galileo enabled device and (2) the number of registered users downloading Copernicus data and information.

Source of the data: European Union Agency for the Space Programme (EUSPA); European Space Agency (ESA); European Organisation for the Exploitation of Meteorological Satellites; Copernicus Service entrusted entities

Baseline (2019)	Interim Milestone		Target (2024)	Latest known results (2024)
	(2022)	(year)		
Share of population with Galileo enabled device: 35% ¹⁰ (estimate)	increase	...	increase	69%
Number of registered users downloading Copernicus data and information: 300 000 ¹¹	increase		increase	1 048 000 (¹²)

⁽⁹⁾ EU28 data. EU27 data not available.

⁽¹⁰⁾ EU 27 data.

⁽¹¹⁾ Worldwide users registered on European Copernicus data access portals.

⁽¹²⁾ Following a major reorganisation of data dissemination for space and land data

Specific objective 2.1: Modern and well-functioning EU space-enabled services to support the Union's priorities

Related to spending programme(s):

EU Space programme

Output indicator: Reliability, availability and continuity, of Copernicus Services and data stream¹³

Source of the data: European Space Agency

Baseline (2019)	Interim Milestone (please add as many columns as the number of defined milestones)		Target (2024; less than 44 hours of interruption per month of each Sentinel mission constellation operated by ESA (corresponding to 97% availability)	Latest known results (2024)
	(2022)	(year)		
Availability ¹⁴ : 94%		...	97% (tbc)	99%
Reliability ¹⁵ (tbd)	95% (tbd)		97 % (tbc)	No figure for reliability has yet been defined
Continuity ¹⁶ : (tbc)	95% (tbc)		97% tbc)	No figure for continuity has yet been defined

Result indicator: Availability, accuracy, and continuity of services provided by Galileo and EGNOS separately¹⁷

Source of the data: Galileo and EGNOS programmes

Baseline (2020)	Interim Milestone		Target (2024)	Latest known results (2024)
	(2022)	(year)		
Galileo availability: 77%	95%		Galileo availability: 99.5%	99.9% on average at all user locations and for all frequency combinations

⁽¹³⁾ This indicator is also reported under the Programme Statement for the EU Space Programme, as part of the annual draft general budget of the European Union

⁽¹⁴⁾ Availability in percentage of time that Copernicus Information and Data products are accessible (tbc)

⁽¹⁵⁾ Reliability in one minus percentage of Copernicus Information and Data products generated that are non-conformant to the Technical Specification (tbc)

⁽¹⁶⁾ Continuity in one minus percentage of Copernicus Information and Data deliveries for which the delay in becoming accessible exceeds the periodicity of that Copernicus Information and Data (tbc).

⁽¹⁷⁾ This indicator is also reported under the Programme Statement for the EU Space Programme, as part of the annual draft general budget of the European Union

Baseline (2020)	Interim Milestone		Target (2024)	Latest known results (2024)
	(2022)	(year)		
Galileo accuracy: Horizontal positioning accuracy $\leq 7.5\text{m}$ (95%), Vertical positioning accuracy $\leq 15\text{m}$ (95%)	Galileo accuracy: Horizontal positioning accuracy $\leq 5\text{m}$ (95%) Vertical positioning accuracy $\leq 8\text{m}$ (95%)		Galileo accuracy: Horizontal positioning accuracy $\leq 4\text{m}$ Vertical positioning accuracy $\leq 8\text{m}$	Galileo accuracy: Horizontal accuracy = 1.11m (95%) Vertical accuracy = 1.72m (95%)
Galileo continuity: Not presently defined	...		Galileo continuity: Will be defined in the applicable issue of the OS SDD	No figure for continuity has yet been defined
EGNOS availability: APV-I ¹⁸ : Over 99% of the EU territories with more than 99% of availability. LPV-200 ¹⁹ : over 90% of the EU territories with more than 99% of availability	...		EGNOS availability: APV-I: Over 99% of the EU territories with more than 99% of availability. LPV-200: over 95% of the EU territories with more than 99% of availability.	EGNOS availability: APV-I: 95.10% of the EU territories with more than 99% of availability. LPV-200: 94% of the EU territories with more than 99% of availability
EGNOS accuracy: - Horizontal (95%): 2 m - Vertical (95%): 3 m	...		EGNOS accuracy: - Horizontal (95%): 1.5 m - Vertical (95%): 2.5 m	EGNOS accuracy: - Horizontal (95%): 1.43 m - Vertical (95%): 2.08 m
EGNOS continuity: APV-I: over 90% of the EU territories with better continuity than $5 \cdot 10^{-4}$ / 15 sec. LPV-200: over 80% of the EU territories with better continuity than $5 \cdot 10^{-4}$ / 15 sec.	...		EGNOS continuity: APV-I: over 95% of the EU territories with better continuity than $5 \cdot 10^{-4}$ / 15 sec. LPV-200: over 85% of the EU territories with better continuity than $5 \cdot 10^{-4}$ / 15 sec.	EGNOS continuity: APV-I: over 97.18% of the EU territories with better continuity than $5 \cdot 10^{-4}$ / 15 sec. LPV-200: over 95.9% of the EU territories with better continuity than $5 \cdot 10^{-4}$ / 15 sec.

⁽¹⁸⁾ APV-I = Approach procedure with vertical guidance, category 1.

⁽¹⁹⁾ LPV-200: Localizer Performance with Vertical guidance to a decision altitude of 200ft.

Result indicator: Availability of GOVSATCOM services ⁽²⁰⁾

Source of the data: EUSPA annual market report on GOVSATCOM

Baseline (2020)	Interim Milestone		Target (2024)	Latest known results (2024)
	(2022)	(year)		
None. Testing phase, not yet fully operational.		...	Number of countries participating: 27 Capacity requested: TBD	None. Testing phase, not yet fully operational. GOVSATCOM initial services will start to be provided in 2025.

Main outputs in 2024:

New policy initiatives

Output	Indicator	Target	Latest known results (situation on 31/12/2024)
 ⁽²¹⁾ Regulation proposal for an EU Space Law/Act	Adoption by the Commission of a Regulation proposal	Q1 2024	Postponed to Q2 2025
Secure Connectivity (Iris ²) implementation	Main concession contract will be awarded to establish the system	Q2 2024	The Commission signed a concession contract with the SpaceRISE consortium on 16 December 2024. Press release
Space Partnership	Foundation of the Space Partnership Association and	Q3 2024	Kick-off of the operational Phase Q3 2024
In-Space Operations and Services (ISOS) Pilot Mission	Announcement of the Mission Preparation under HE	Q2 2024	Kick-Off of the Mission Preparation under HE Q2 2024

Evaluations and fitness checks

Output	Indicator	Target	Latest known results (situation on 31/12/2024)
Interim evaluation of the EU Space Programme and of EUSPA (Mid Term Review)	- Publication of the evaluation Staff Working Document - Adoption of the Communication	- Q2 2024 - Q2 2024	- Adopted and published on 07/07/2024 - Adopted and published on 07/07/2024

⁽²⁰⁾ This indicator is also reported under the Programme Statement for the EU Space Programme, as part of the annual draft general budget of the European Union

⁽²¹⁾ Initiatives that are part of the 2024 CWP are marked with the following icon 

External Communication			
Output	Indicator	Target	Latest known results (situation on 31/12/2024)
Dedicated campaign to promote IRIS ²	- Seminar and workshops/events	- 3 workshops/events - 4.000 attendees	- 5 workshops / events organised (10 200 total attendees) - 2 sessions on IRIS ² at the 16 th European Space Policy Conference (1 500 attendees) - 1 IRIS ² exhibition at the EU Space Days (400 attendees) - 1 IRIS ² exhibition at the EU Open Doors Day (8 000 attendees) - Dedicated IRIS ² Launch event organised in the Berlaymont (300 attendees)
Promoting opportunities for developing new applications based on space data	- CASSINI Hackathons and challenges Publication of results of Horizon Europe calls	- 2 hackathons, 1 challenge - 1 annual publication	- 2 hackathons organised (Environment and Green Transition, Security and Defence) - 1 challenge organised in Nov ("Make it with Space" Challenge) - 1 annual publication of Horizon Europe calls (DEFIS-EUSPA-HADEA) in Oct. 2024
Promoting the EU Space Policy and the Competitiveness of the EU space industry	Targeted meetings of the Space Policy Expert Group (SPEG) will be organised with the Member States,	- 5 seminars	- 2 seminars were organised with the Member States. Other activities postponed to 2025
Other important outputs			
Output	Indicator	Target	Latest known results (situation on 31/12/2024)
IRIS ² Procurement for a multi-supplier contract for the purchase of satellite communication services	Publication of open call for tender	Q2 2024	- The public procurement for this contract is currently expected to be launched in the third quarter of 2025.

Specific objective 2.2: EU Space Programme maximises socio-economic benefits*Related to spending programme(s): EU Space programme***Impact indicator:** Market share of the European companies in the overall global GNSS market (for receivers)²²**Source of the data:** European Union Agency for the Space Programme (EUSPA), Market report

Baseline (2021)	Interim Milestone		Target (2024)	Latest known results (2024)
	(2021)	(year)		
64%	...	increase	70%	64%

Impact indicator: Share of SMEs established in the EU as a proportion of the total value of the contracts relating to the Space Programme²³**Source of the data:** DG DEFIS, European Union Agency for the Space Programme (EUSPA, European Space Agency accounting department)

Baseline (2020)	Interim Milestone		Target (2024)	Latest known results (2024)
	(2023)			
1 800	Approx. 2 250 (772 related to Earth observation)		increase	No data available yet ⁽²⁴⁾

Result indicator: Number of start-ups supported by EU space programmes, including CASSINI initiative and R&D actions**Source of the data:** Contractors organising the activities and participating partners

Baseline (2020)	Interim Milestone		Target (2024)	Latest known results (2024)
	(2022)	(year)		
			The target was set by estimating the impact of the upcoming actions for startup and scaleup companies under CASSINI, notably CASSINI Business Accelerator, CASSINI Matchmaking, CASSINI Prizes and CASSINI Seed and Growth Funding Facility	
0	22	...	60	Above 200

⁽²²⁾ This indicator is also reported under the Programme Statement for the EU Space Programme, as part of the annual draft general budget of the European Union

⁽²³⁾ This indicator is also reported under the Programme Statement for the EU Space Programme, as part of the annual draft general budget of the European Union

⁽²⁴⁾ Combined turnover in 2020 was 3.9 billion Euro corresponding to 33 000 employees.

Main outputs in 2024:

New policy initiatives

Output	Indicator	Target	Latest known results (situation on 31/12/2024)
Staff Working Document on uptake of space data and services  ⁽²⁵⁾ Strategy on Space Data Economy	Adoption Adoption by the Commission	Q1 2024 (SWD) Q4 2024	- published July 2024 - postponed
CASSINI Investment Facility - Seed and Growth Funding: EIF signing investment agreements with VC funds and co-investments (InvestEU)	Number of VC funds signed by EIF per year & number of co-investments signed by EIF	4 investment agreements and 1 co-investment signed. Indicative EU guarantee amount target: €160m.	- 6 new VC funds signed (bringing total number to 15 VC Funds) - 2 new co-investments (bringing total number to 5)
CASSINI Investment Facility - Seed and Growth Funding: companies receiving investments from venture capital funds (InvestEU)	Number of companies signed by venture capital funds (subscription agreements signed)	50-60 new venture capital investments in space-related companies per year (when fully operational). KPIs reported by EIF to InvestEU with a delay of appr 1 year.	- 46 start-ups supported by CASSINI-backed VC Funds (internal mapping – pending official statistics by EIF)
European Flight Ticket Initiative with ESA to stimulate new European launcher systems via open competition and access to procurement of launch services for In-Orbit demonstration and Validation needs.	- Signature of frame contracts - Signature of work orders	- Q1 2024 - Q2 2024	- In Q2 2024, frame contract signature with 5 EU launch service providers. - Specific work orders under negotiation with successful bidders.

⁽²⁵⁾ Initiatives that are part of the 2024 CWP are marked with the following icon 

Output	Indicator	Target	Latest known results (situation on 31/12/2024)
- Horizon Europe Work programme 2025	- Adoption by the Commission	- Q4 2024	- Adoption has been postponed by RTD to April 2025
- Commission Implementing Decisions for the 2024 Horizon Europe – Space call	- Adoption by the Commission	- Q4 2024	- Happened on target in Q4 2024
- Horizon Europe Space Partnership	- Start	- Q1 2024	- Space Partnership call topics implemented in HE WP2025
- EU Strategy for Space R&I	- Consultations and preparatory work	- Q1-Q4 2024	- EU Strategy for Space R&I being discussed in Q1/2025 as part of Space Industrial Strategy
- Space programme Work programme 2025-2027	- Consultations, preparatory, work and endorsement by member States	- Q3-4 2024	
	- Adoption by the Commission	- Q1 2025	

Enforcement actions

Output	Indicator	Target	Latest known results (situation on 31/12/2024)
Development of OCT technology roadmap autonomous systems and on a subset of semiconductors family	Delivery of the roadmaps	Q4 2024	Reports to prepare roadmaps were delivered in Q4 2024. The preparation of the roadmaps has started in Q4.
Development of new set of thematic OCT reports in response to the second round of OCT critical technologies	Delivery of the reports	Q3-Q4 2024	7 Reports were delivered in 2024.
EP Pilot Project “New vision for Resilient and Autonomous access to space”	Launch of studies and Digital aggregation platform	Q2 2024	- 2 studies were kicked-off in Q4 2024 - 2 calls (study + Digital aggregation platform) are postponed to 2025
EP Pilot Project “Mobile Responsive Launch Systems”	Launch of the study	Q2 2024	- Postponed to 2025
Preparatory Action “Game-changing innovation for European launch solutions”	Launch of the call for prizes	Q1 2024	- Postponed to 2025

External communication actions

Output	Indicator	Target	Latest known results (situation on 31/12/2024)
Promotion of EU Space, EDF and AZEA based opportunities for entrepreneurship and skills development within the ecosystem: - 16th European Space Conference, Brussels (BE) - ILA air show, Berlin (DE) - 75th International Astronautical Congress, Milan (IT)	- Number of events - Number of attendees	- 3 events - 120 000 attendees	- 2 AZEA General Assemblies in 2024 : - 3rd General Assembly at Eurocontrol on 23 January 2024 (Brussels, Belgium): 147 attendees in person - 4th General Assembly on 7 June 2024 at ILA Berlin Airshow (Germany, hybrid format): 100 attendees: 60 in person and 40 online - 3 events (107 500 total attendees): - 16th European Space Conference: over 1 500 attendees - ILA air show: approximately 95 000 attendees - 75th International Astronautical Congress : 11 000 attendees
Promotion of EU Space and EDF based opportunities for entrepreneurship and skills development beyond the ecosystem: - VivaTech, Paris (FR) - Eurosatory, Paris (FR) - Web Summit, Lisbon (PT) - Slush, Helsinki (FI)	- Number of events - Number of attendees	- 3 events - 250 000 attendees	- 5 events (53 000 total attendees): - Hello Tomorrow (Paris, FR): 3 000 attendees - TechChill (Riga, LV): 2 300 attendees - ImpactCEE (Posnan, PL): 6 000 attendees - Black Sea Defence and Aerospace (Bucharest, RO): 34 700 attendees - Slush (Helsinki, FI): 13 000 attendees

Output	Indicator	Target	Latest known results (situation on 31/12/2024)
Animation of a webpage dedicated to DG DEFIS-led policies contribution to the digital age	- Number of visits	- 5 000 visits	- 1 714 544 total visits to the Copernicus.eu site, of which approximately 428 636 on pages dedicated to DG DEFIS contribution to the digital age - 518 unique visits to DG DEFIS corporate page dedicated to policies contributing to the digital age
Promoting the Digital Agenda priority on social media accounts	- Number of impressions - Number of engagements - Number of new followers - Percentage of audience reached having a more positive opinion of the post's topic as a result of engaging with the Commission or its content on social media	- 13 million impressions - 400.000 engagements - 11.000 new followers - 70% of the audience	- 24.4 million impressions on EC-managed social media accounts - 735,000 engagements - 316 400 followers

Other important outputs

Output	Indicator	Target	Latest known results (situation on 31/12/2024)
Study on EU space value chains resilience	Delivery of the study	Q1 2024	- done in 2024
Study on Criticality of advanced materials for the EU space value chains	Launch of the study	Q2 2024	- postponed to 2025
Unified procurement framework and online aggregation platform for European institutional launch service	Start of the preparation with dedicated consultations and workshops	Q2 2024	- start of the preparation with dedicated consultations and workshops
Creation of an Online Hub covering a web-based databased and associated service	Launch of the procurement	Q1 2024	- Postponed to Q1 2025
CASSINI Matchmaking	Number of startup companies, investors, and corporates participating in CASSINI Matchmaking	100+ participating startup companies at 8 CASSINI events.	- 138 participating startups in 2024. 13 CASSINI event organised in 2024. 40 investors attended the events.

Output	Indicator	Target	Latest known results (situation on 31/12/2024)
CASSINI Business Accelerator	Number of participating startup companies enrolled in CASSINI Business Accelerator, quality of applicants, contents of coaching and events, and satisfaction level	40 companies enrolled (20 per batch of 6 months).	- 40 companies accelerated in 2024. Impact: doubled customer revenue on average. 80 companies in total have become CASSINI Business Accelerator alumni.
CASSINI Speed-dating	Number of Advice on public funding, procurement, and CASSINI actions. Gaining knowledge about startup companies	Appr. 40 companies at 4 events.	- Approx. 50 companies in bilateral meetings with COM/EUSPA at events (incl European Space Conference)
CASSINI Hackathons & Mentoring	Number of CASSINI Hackathon events organised; number of teams and participants supported	2 hackathons with appr 1000 participants.	- 2 CASSINI Hackathons organised in 2024, 1000+ participants across 20 countries; 200+ teams
CASSINI Challenges	Number of awarded companies	1 yearly challenge, 30 companies to be awarded	- 30 companies (15 ideas, 10 prototypes, 5 products), received prizes for a total value of €1M

General objective 3: An Economy that works for people

Impact indicator 11: Public EU and EU Member States investments in space

Source of the data: Euroconsult report 2023 Government Space Programs - Benchmarks, Profiles and Forecasts to 2032

Baseline (2018)	Interim Milestone		Target (2025)	Latest known results (2023)
	(2022)	(year)		
EUR 8 655 million ⁽²⁶⁾	increase	...	increase	10 258 million

⁽²⁶⁾ Baseline adjusted

General objective 4: A Stronger Europe in the world**Impact indicator 12:** Value of research and development actions funded by the European Defence Fund**Source of the data:** European Commission

Baseline (2019)	Interim Milestone		Target (2025)	Latest known results (2024)
	(2022)	(year)		
EUR 0	increase	...	increase	EUR 1.12 billion ⁽²⁷⁾ EUR 3.12 billion ⁽²⁸⁾

Specific objective 4.1: *Fostered innovation capacity and competitiveness of the European defence industry and strengthened EU defence supply chains due to increased cross-border R&D cooperation involving in particular SMEs and mid-caps*

Related to spending programme(s):

European Defence Industrial Development Programme (EDIDP),

European Defence Fund (EDF)

EU Space Programme

Output indicator: Legal entities involved in EDF²⁹**Source of the data:** European Commission

Baseline (2020)	Interim Milestone		Target (2025)	Latest known results (2024)
	(2022)	(year)		
0	increase	...	increase	EDF: 663 ⁽³⁰⁾ 1356 ⁽³¹⁾

⁽²⁷⁾ This indicator reports value of research and development actions funded by the European Defence Fund implemented in direct and indirect management in EDF 2023 as known at the moment of reporting (end of 2024)

⁽²⁸⁾ This indicator reports cumulative value of research and development actions funded by the European Defence Fund implemented in direct and indirect management in EDF 2021, 2022 and 2023 as known at the moment of reporting (end of 2024)

⁽²⁹⁾ This indicator is also reported under the Programme Performances Statement for the European Defence Fund, as part of the annual draft general budget of the European Union.

⁽³⁰⁾ This indicator reports on unique entities involvement in research and development actions implemented in direct and indirect management in EDF 2023 as known at the moment of reporting (end of 2024).

⁽³¹⁾ This indicator reports on cumulative number of unique entities involvement in research and development actions implemented in direct and indirect management in EDF 2021, 2022 and 2023 as known at the moment of reporting (end of 2024).

Result indicator: Proportion of budget of EDF allocated to disruptive technologies

Source of the data: European Commission

Baseline (2020)	Interim Milestone		Target (2024)	Latest known results (2023)
	(2022)	(year)		
0	4%	...	4-8 %	3.47 % ⁽³²⁾ 4.07 % ⁽³³⁾

Output indicator: Share of EDF contracts awarded involving collaboration with to cross-border SME and mid-caps³⁴

Source of the data: European Commission

Baseline (2020)	Interim Milestone		Target (2024)	Latest known results (2024)
	(2022)	(year)		
0	increase	...	increase	12.40 % ⁽³⁵⁾

Main outputs in 2024:

New policy initiatives

Output	Indicator	Target	Latest known results (situation on 31/12/2024)
 ⁽³⁶⁾ European Defence Industrial Strategy	Communication	Q1 2024	Adopted Q1 2024
European Defence Industry Programme (Regulation proposal)	Regulation	Q1 2024	Adopted Q1 2024
Adoption of the award decision for the Act in Support of Ammunition Production (ASAP) calls	Adoption by Commission	Q1 2024	Adopted Q2 2024
Grant Agreement signature for the ASAP calls.	Signature by the Commission and project coordinators	Q2 2024	Q4 2024

⁽³²⁾ This indicator reports of the share of budget allocated to disruptive technologies through research and development projects funded by the European Defence Fund implemented in direct and indirect management in 2022 as known at the moment of reporting (end of 2024).

⁽³³⁾ This indicator reports of the cumulative share of budget allocated to disruptive technologies through research and development projects funded by the European Defence Fund implemented in direct and indirect management in EDF 2021 and 2022 as known at the moment of reporting (end of 2024).

⁽³⁴⁾ This indicator is also reported under the Programme Performances Statement for the European Defence Fund, as part of the annual draft general budget of the European Union.

⁽³⁵⁾ This indicator reports cumulative share of value of projects funded by the European Defence Fund implemented in direct and indirect management in EDF 2021, 2022 and 2023 as known at the moment of reporting (end of 2024).

⁽³⁶⁾ Initiatives that are part of the 2024 CWP are marked with the following icon 

Output	Indicator	Target	Latest known results (situation on 31/12/2024)
Adoption of the Work Programme for the European defence industry reinforcement through common procurement act (EDIRPA)	Adoption by Commission	Q1 2024	Q1 2024
Publication of calls for EDIRPA proposals	Publication by Commission	Q1 2024	Q1 2024
Adoption of the award decision for the EDIRPA Calls	Adoption by Commission	Q4 2024	Q4 2024
Initiatives linked to regulatory simplification and burden reduction			
Output	Indicator	Target	Latest known results (situation on 31/12/2024)
Implementation of EU Space Strategy for Security and Defence	Annual Report on implementation (joint COM-HRVP)	Q4 2024	Postponed to 2025
EU Space ISAC (Information sharing and analysis centre)	Kick-off of pilot phase On-boarding of new applicants to the ISAC Establishment of roadmap for 2025	Q1 2024	Q1 2024 Q3 2024 Q4 2024
Evaluations and fitness checks			
Output	Indicator	Target	Latest known results (situation on 31/12/2024)
EDF Interim Evaluation	Prepare the interim evaluation and obtain a positive opinion by RSB on Interim Evaluation to EDF.	Final draft of interim evaluation by Q4 2024.	Final draft of interim evaluation by Q2 2025
External communication actions			
Output	Indicator	Target	Latest known results (situation on 31/12/2024)
Organisation of EDF Info Days, Brussels (BE)	- Number of attendees [physical and online]	- 2 000 attendees	- 2 600 attendees
Participation in national EDF info days with expert speakers with a geographical balance	- Number of workshops - Number of attendees [physical and online]	- 5 events - 500 attendees	- 15 events - 2000 attendees
Promotion of EU's defence industry initiatives at fairs - ILA Berlin - Eurosatory, Paris (FR) - Euronaval	- Number of events - Number of attendees [physical and online]	- 1 event - 60 000 attendees	- 3 events - 200 000 attendees

Output	Indicator	Target	Latest known results (situation on 31/12/2024)
Development of video-materials promoting results of EDIDP-EDF calls	- Number of views to each video	- 10 videos	- 8 videos published on YouTube channel with 1 000 views total
Promoting Stronger Europe in the World priority on social media accounts	- Number of impressions - Number of engagements - Followers' growth rate - Percentage of audience reached - having a more positive opinion of the post's topic as a result of engaging with the Commission or its content on social media	- 4.6 million impressions - 140.000 engagements - 3 000 new followers - 60% of the audience	- 6.1 million impressions on EC-managed social media accounts promoting Stronger Europe in the World priority - 183 750 engagements - 79 000 followers
Increase awareness of the achievements of EDF	- Number of engagements on social media	- 300 000 engagements on social media channels	In the second half of 2024, DEFIS launched a communication campaign focusing on EDF project results with 2 posts per week. This campaign generated over 250 000 engagements.

Other important outputs

Output	Indicator	Target	Latest known results (situation on 31/12/2024)
Annual EDF Work Programme	Adoption by Commission	Q2 2024	Q1 2024
Adoption of the award decision for the EDF 2023 Calls	Adoption by Commission	Q4 2024	Q4 2024
Grant Agreement signature for the EDF 2023 Calls.	Signature by the Commission and project coordinators	Q4 2024	Q4 2024
EUDIS Hackathon and Mentoring	First hackathon event	Q2 2024	Q2 2024
Joint EUDIS and CASSINI Hackathon and Mentoring	Second joint hackathon event	Q4 2024	Q4 2024
EUDIS Business Accelerator	Launch contract	Q4 2024	Q4 2024
EUDIS Matchmaking	Launch contract	Q4 2024	Q4 2024

Output	Indicator	Target	Latest known results (situation on 31/12/2024)
Implementation of EDIS	Number of events	By Q4 2024 (after the adoption of EDIS)	2 events: - EU-Ukraine Defence Industries Forum (organised on 6 May 2024) - EU Defence Industrial Investment Forum (organised on 27 November 2024)
Staff Working Document for a European Defence Industry Programme and a framework of measures to ensure the timely availability and supply of defence products	Adoption	Q3 2024	Adopted on 8 July 2024

General objective 5: Promoting our European way of life

Impact indicator 7: Victims of terrorist attacks

Source of the data: [The Europol Te-Sat report](#)

Baseline (2017)	Interim Milestone		Target (2024)	Latest known results (2024)
	(2022)	(year)		
32 people died as a result of terrorist attacks 157 people were injured	Decrease	...	decrease	6 deaths and 12 injuries

Specific objective 5.1: Security actors have access to EU autonomous tools, space-enabled services, and technologies, needed to build resilience to security threats, safety hazards and crisis situations

Related to spending programme(s):

EU Space Programme,

Horizon 2020/Europe

Result indicator: Number of operational safety and security (including dual-use) related services from the EU Space Programmes

Source of the data: European Commission (DG DEFIS), EU Space Programme

Baseline (2020)	Interim Milestone		Target (2024)	Latest known results (2024)
	(2022)	(year)		
• GALILEO Public Regulated Service (PRS) Initial Service • EGNOS Safety of Life (SoL) service • GALILEO Search and Rescue (SAR) service • Copernicus security service³⁷/ emergency service • Space Surveillance and Tracking (SST)	• GALILEO Public Regulated Service (PRS) initial service • EGNOS Safety of Life (SoL) service • GALILEO Search and Rescue (SAR) service • Copernicus security service/ emergency service • Space Surveillance and Tracking (SST)	...	• GALILEO Public Regulated Service (PRS) Full Operational Capability (FOC)³⁸ • EGNOS Safety of Life (SoL) service • GALILEO Search and Rescue (SAR) service • GALILEO Emergency Warning Service (EWS) • Copernicus security service/ emergency service • Space Surveillance and Tracking (SST) • Space Weather (SWE) • Near Earth Objects (NEO) • GOVSATCOM (Governmental Satellite Communications)	• GALILEO Public Regulated Service (PRS) since 2016 and start of Initial Operation Capability Signal in Space broadcast in April 2024 • GALILEO Search and Rescue (SAR) service with return link feature since 2020 and final performance declared in 2024. • Copernicus security service/ emergency service. The security service has been expanded to cover support to security actions through the Satellite Centre of the EU. • EU Space Surveillance and Tracking (SST) collision avoidance service. • EU Space Surveillance and Tracking (SST) re-entry analysis service

⁽³⁸⁾ The schedule is at risk. The new target date is under assessment

Baseline (2020)	Interim Milestone		Target (2024)	Latest known results (2024)
	(2022)	(year)		
				• EU Space Surveillance and Tracking (SST) fragmentation analysis service. • Near Earth Objects (NEO) services are expected from 2026. GOVSATCOM (Governmental Satellite Communications) will start to be provided in 2025.

Enforcement actions

Output	Indicator	Target	Latest known results (situation on 31/12/2024)
Development of OCT technology roadmap autonomous systems and on a subset of semiconductors family	Delivery of the roadmaps	Q4 2024	- Reports to prepare roadmaps were delivered in Q4 2024. The preparation of the roadmaps has started in Q4.
Development of new set of thematic OCT reports in response to the second round of OCT critical technologies	Delivery of the reports	Q3-Q4 2024	7 Reports were delivered in 2024.

Result indicator: EU Funding for critical technologies for European strategic autonomy in aerospace and defence

Source of the data: DG DEFIS Programmes

Baseline (2014-2020)	Interim Milestone		Target (2024)	Latest known results (2024)
	(2022)	(year)		
EUR 105 million ³⁹				EUR 10.5 million (space-related activities)

⁽³⁸⁾ The schedule is at risk. The new target date is under assessment

⁽³⁹⁾ The indicator measures the level of funding allocated from Horizon 2020/Europe to the calls dedicated to critical space technologies as defined in the critical space technologies list established by the joint task

Output indicator: Number of EU launches for the Space Programme (including numbers by type of launchers)⁴⁰

Source of the data: DG DEFIS, EU Space Programme

Baseline (2021)	Interim Milestone		Target (2024)	Latest known results (2024)
	(2023)	(year)		
0	2 (1 contracted and scheduled, 1 planned)	...	2 (2 launches planned)	2 Galileo launches (#L12, #L13) and 1 Copernicus launch (S1-C)

Main outputs in 2024:

External communication actions

Output	Indicator	Target	Latest known results (situation on 31/12/2024)
Promotion of DEFIS-led policies at EU Open Doors Day	- Number of attendees [physical and online]]	- 5 000 attendees	- Over 8 000 attendees
Promotion of EU Space / Galileo SAR / Copernicus Emergency Management Service activation	- Number of events - Number of engagement/impressions on social media - Number of attendees [physical and online] - Number of journalists/influencers following the event	- 1 live demonstration organised - 2 000 000 engagement/impressions on social media channels - 5 000 attendees - 20 journalists/influencers	- 1 booth organised at the Open Doors Day, SAR Base at Koksijde, BE. - Approximately 1 000 engagement / impressions on corporate media channels - More than 10 000 onsite attendees - Registered accredited media included 3 Flemish-speaking TV stations, 5+ local media outlets, 3+ Dutch media outlets, several specialised industry publications. Additional non-accredited media presence noted at the event.

force (JTF) of the European Commission, ESA and EDA. The JTF list provides critical technologies, at component or equipment level, that are not available from a European source and for which the unrestricted availability from non-European suppliers cannot be assured. Additional funding for the development of technologies in the JTF list should lead to wider availability of such critical technologies for the EU aerospace and defence systems and accordingly to the European strategic non-dependence.

⁽⁴⁰⁾ This indicator is also reported under the Programme Statement for the EU Space Programme, as part of the annual draft general budget of the European Union.

Output	Indicator	Target	Latest known results (situation on 31/12/2024)
Animation of a dedicated webpage on DG DEFIS Europa platform promoting DG DEFIS contribution to this objective	- Number of visits	- 5 000 visits	- 1 714 544 total visits to the Copernicus.eu site, of which approximately 428 636 on pages dedicated to DG DEFIS contribution to promoting our European way of life objective - 476 unique visits to DG DEFIS corporate website promoting DG DEFIS' contributions to promoting our European way of life objective
Promoting our European Way of Life priority on social media accounts	- Number of impressions - Number of engagements - Number of new followers - Percentage of audience reached having a more positive opinion of the post's topic as a result of engaging with the Commission or its content on social media	- 2.5 million impressions - 80 000 engagements - 2 000 new followers - 70% of the audience	- 6.1 million impressions on EC-managed social media accounts promoting European Way of Life priority - 183 750 engagements - 79 000 followers

Other important outputs

Output	Indicator	Target	Latest known results (situation on 31/12/2024)
Commission Implementing Decision on the general security requirements for the SST sub-component of the Union Space Programme	Adoption by the Commission	Q1 2024	This initiative was under preparation in 2024 and following iterations with Member States, the proposed approach required a substantial review. A formal adoption is expected by Q2 2025.
Commission Decision on the establishment of a security monitoring structure for the EU Space Surveillance and Tracking subcomponent of the EU Space Programme	Adoption by the Commission	Q1 2024	This initiative was under preparation in 2024. It was decided to broaden the scope and include the security monitoring structures for SSA and the GOVSATCOM components of the EU space programme and also IRIS ² (secure connectivity programme). A formal adoption is expected by Q2 2025.

Output	Indicator	Target	Latest known results (situation on 31/12/2024)
Organise regular meetings under the STM Stakeholder Mechanism	Number of meetings	At least two meetings per group	• Two meetings were held under the main group of the STM stakeholder mechanism in 2024. • The STM subgroup 1 on 'Civilian and military requirements of space operators' held 3 meetings in 2024. • The STM subgroup 2 'EU Industry and Start-ups Forum on STM' held 1 meeting in 2024. • STM subgroup 3 on regulatory STM aspects and STM subgroup 4 on the international dimension of STM were not yet set up in 2024.

ANNEX 3: Draft annual accounts and financial reports

TABLE 1: OUTTURN ON COMMITMENT APPROPRIATIONS IN 2024 (in Mio €) for DG DEFIS					
			Commitment appropriations authorised ⁽⁴¹⁾	Commitments made	%
			1	2	3=2/1
Title 01 Research and Innovation					
01	01 01	Support administrative expenditure of the "Research and Innovation" cluster	3,16	0,98	31,09 %
	01 02	Horizon Europe	104,42	104,26	99,85 %
	01 20	Pilot projects, preparatory actions, prerogatives and other actions	3,44	3,44	99,99 %
Total Title 01			111,02	108,68	97,90 %
Title 03 Single Market					
03	03 02	Single Market Programme	0,00	0,00	0,00 %
Total Title 03			0,00	0,00	0,00 %
Title 04 Space					
04	04 01	Support administrative expenditure of the "Space" cluster	6,51	5,39	82,71 %
	04 02	Union Space Programme	2.353,70	2.292,81	97,41 %
	04 03	Union Secure Connectivity Programme	117,15	117,15	100,00 %
	04 10	Decentralised agencies	82,69	82,11	99,30 %
	04 20	Pilot projects, preparatory actions, prerogatives and other actions	16,99	16,99	100,00 %
Total Title 04			2.577,05	2.514,45	97,57 %
Title 08 Agriculture and Maritime Policy					
08	08 02	European Agricultural Guarantee Fund (EAGF)	4,20	4,20	100,00 %
Total Title 08			4,20	4,20	100,00 %
Title 09 Environment and Climate Action					
09	09 02	Programme for the Environment and Climate Action (LIFE)	0,00	0,00	0,00 %
	09 20	Pilot projects, preparatory actions, prerogatives and other actions	0,00	0,00	0,00 %
Total Title 09			0,00	0,00	0,00 %

⁽⁴¹⁾ Commitment appropriations authorised include, in addition to the budget voted by the legislative authority, appropriations carried over from the previous exercise, budget amendments as well as miscellaneous commitment appropriations for the period (e.g. internal and external assigned revenue).

Title 13 Defence					
13	13 01	Support administrative expenditure of the "Security and Defence" cluster	1,02	1,02	100,00 %
	13 02	European Defence Fund (EDF) Non-research	687,30	687,30	100,00 %
	13 03	European Defence Fund (EDF) Research	338,68	338,68	100,00 %
	13 05	Union Secure Connectivity Programme	96,00	96,00	100,00 %
	13 06	Short-term Defence instrument on common procurement	258,94	258,94	100,00 %
	13 07	Defence Industrial Reinforcement Instrument	358,83	358,83	100,00 %
	13 20	Pilot projects, preparatory actions, prerogatives and other actions	0,00	0,00	0,00 %
Total Title 13			1.740,78	1.740,78	100,00 %
Title 14 External Action					
14	14 02	Neighbourhood, Development and International Cooperation Instrument Global Europe (NDICI Global Europe)	0,00	0,00	0,00 %
Total Title 14			0,00	0,00	0,00 %
Title 20 Administrative expenditure of the European Commission					
20	20 02	Other staff and expenditure relating to persons	0,02	0,02	98,70 %
Total Title 20			0,02	0,02	98,70 %
Total Excluding NGEU			4.433,06	4.368,14	98,54 %
Title 01 Research and Innovation					
01	01 02	Horizon Europe	0,00	0,00	0,00 %
Total Title 01			0,00	0,00	0,00 %
Total NGEU Only			0,00	0,00	0,00 %
Total DG DEFIS			4.433,06	4.368,14	98,54 %

% Outturn on Commitment Appropriations in 2024 for DG DEFIS

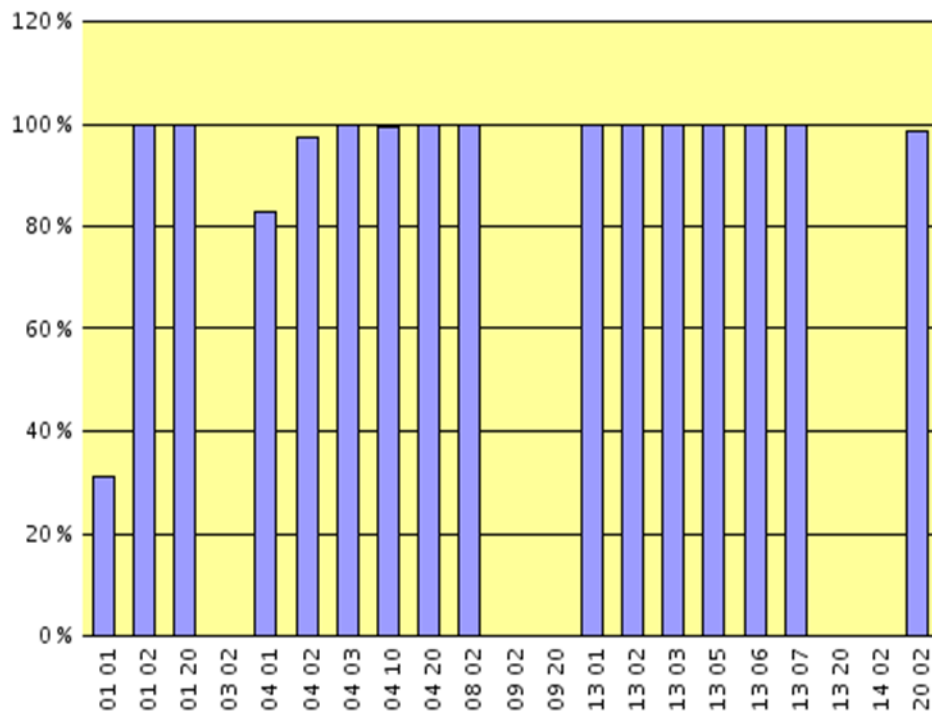


TABLE 2: OUTTURN ON PAYMENT APPROPRIATIONS in 2024 (in Mio €) for DG DEFIS

			Payment appropriations authorised ⁽⁴²⁾	Payments made	%
			1	2	3=2/1
Title 01 Research and Innovation					
01	01 01	Support administrative expenditure of the "Research and Innovation" cluster	4,56	1,76	38,64 %
	01 02	Horizon Europe	177,11	145,14	81,95 %
	01 20	Pilot projects, preparatory actions, prerogatives and other actions	2,36	2,36	100,00 %
Total Title 01			184,03	149,26	81,11%
Title 03 Single Market					
03	03 02	Single Market Programme	0,33	0,33	100,00 %
Total Title 03			0,33	0,33	100,00%
Title 04 Space					
04	04 01	Support administrative expenditure of the `Space cluster	11,22	5,31	47,37 %
	04 02	Union Space Programme	2.534,88	2.149,04	84,78 %
	04 03	Union Secure Connectivity Programme	190,00	190,00	100,00 %
	04 10	Decentralised agencies	85,99	85,41	99,32 %
	04 20	Pilot projects, preparatory actions, prerogatives and other actions	0,00	0,00	0,00 %
Total Title 04			2.822,09	2.429,76	86,10%

⁽⁴²⁾ Payment appropriations authorised include, in addition to the budget voted by the legislative authority, appropriations carried over from the previous exercise, budget amendments as well as miscellaneous payment appropriations for the period (e.g. internal and external assigned revenue).

Title 08 Agriculture and Maritime Policy					
08	08 02	European Agricultural Guarantee Fund (EAGF)	2,35	2,35	100,00 %
Total Title 08			2,35	2,35	100,00%
Title 09 Environment and Climate Action					
09	09 02	Programme for the Environment and Climate Action (LIFE)	0,51	0,51	100,00 %
	09 20	Pilot projects, preparatory actions, prerogatives and other actions	0,89	0,89	100,00 %
Total Title 09			1,40	1,40	100,00%
Title 13 Defence					
13	13 01	Support administrative expenditure of the "Security and Defence" cluster	3,03	1,86	61,30 %
	13 02	European Defence Fund (EDF) ¿ Non-research	526,65	526,65	100,00 %
	13 03	European Defence Fund (EDF) ¿ Research	183,00	183,00	100,00 %
	13 05	Union Secure Connectivity Programme	110,00	110,00	100,00 %
	13 06	Short-term Defence instrument on common procurement	0,00	0,00	0,00 %
	13 07	Defence Industrial Reinforcement Instrument	172,31	172,31	100,00 %
	13 20	Pilot projects, preparatory actions, prerogatives and other actions	0,01	0,00	0,00 %
Total Title 13			995,00	993,82	99,88%
Title 14 External Action					
14	14 02	Neighbourhood, Development and International Cooperation Instrument ¿ Global Europe (NDICI ¿ Global Europe)	0,90	0,90	100,00 %
Total Title 14			0,90	0,90	100,00%
Title 20 Administrative expenditure of the European Commission					
20	20 02	Other staff and expenditure relating to persons	0,04	0,01	38,19 %
Total Title 20			0,04	0,01	38,19%
Total Excluding NGEU			4.006,15	3.577,85	89,31%
Title 01 Research and Innovation					
01	01 02	Horizon Europe	41,13	27,86	67,73 %
Total Title 01			41,13	27,86	67,73%
Total NGEU Only			41,13	27,86	67,73%
Total DG DEFIS			4.047,27	3.605,70	89,09 %

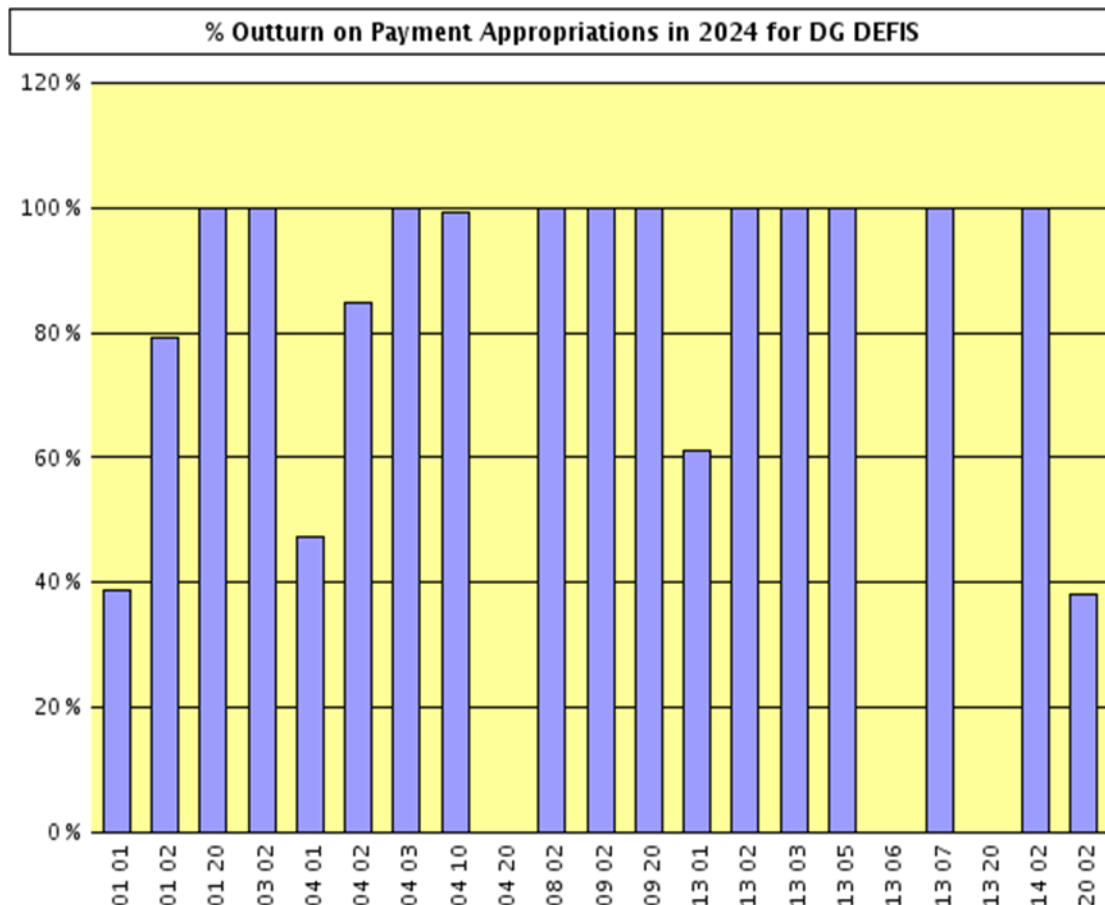


TABLE 3 : BREAKDOWN OF COMMITMENTS TO BE SETTLED AT 31/12/2024 (in Mio €) for DG DEFIS									
Chapter			Commitments to be settled				Commitments to be settled from financial years previous to 2023	Total of commitments to be settled at end of financial year 2024	Total of commitments to be settled at end of financial year 2023
			Commitments	Payments	RAL	% to be settled			
			1	2	3=1-2	4=1-2/1	5	6=3+5	7
01	01 01	Support administrative expenditure of the "Research and Innovation" cluster	0,98	0,45	0,53	54,45%	0,00	0,53	1,40
	01 02	Horizon Europe	104,26	42,63	61,64	59,12%	173,90	235,54	277,55
	01 20	Pilot projects, preparatory actions, prerogatives and other actions	3,44	0,61	2,83	82,20%	1,49	4,32	3,26
Total Title 01			108,68	43,69	65,00	59,80%	175,40	240,40	282,21
TABLE 3 : BREAKDOWN OF COMMITMENTS TO BE SETTLED AT 31/12/2024 (in Mio €) for DG DEFIS									
Chapter			Commitments to be settled				Commitments to be settled from financial years previous to 2023	Total of commitments to be settled at end of financial year 2024	Total of commitments to be settled at end of financial year 2023
			Commitments	Payments	RAL	% to be settled			
			1	2	3=1-2	4=1-2/1	5	6=3+5	7
03	03 02	Single Market Programme	0,00	0,00	0,00	0,00%	0,00	0,00	0,35
Total Title 03			0,00	0,00	0,00	0,00%	0,00	0,00	0,35
TABLE 3 : BREAKDOWN OF COMMITMENTS TO BE SETTLED AT 31/12/2024 (in Mio €) for DG DEFIS									
			Commitments to be settled						

Chapter			Commitments	Payments	RAL	% to be settled	Commitments to be settled from financial years previous to 2023	Total of commitments to be settled at end of financial year 2024	Total of commitments to be settled at end of financial year 2023
			1	2	3=1-2	4=1-2/1	5	6=3+5	7
04	04 01	Support administrative expenditure of the "Space" cluster	5,39	1,10	4,29	79,58%	0,00	4,29	4,70
	04 02	Union Space Programme	2.292,81	1.294,61	998,20	43,54%	451,33	1.449,53	1.308,15
	04 03	Union Secure Connectivity Programme	117,15	33,95	83,20	71,02%	0,00	83,20	156,05
	04 10	Decentralised agencies	82,11	65,39	16,72	20,37%	0,00	16,72	20,02
	04 20	Pilot projects, preparatory actions, prerogatives and other actions	16,99	0,00	16,99	100,00%	0,00	16,99	0,00
Total Title 04			2.514,45	1.395,05	1.119,40	44,52%	451,33	1.570,74	1.488,93
TABLE 3 : BREAKDOWN OF COMMITMENTS TO BE SETTLED AT 31/12/2024 (in Mio €) for DG DEFIS									
			Commitments to be settled				Commitments to be settled from financial years previous to 2023	Total of commitments to be settled at end of financial year 2024	Total of commitments to be settled at end of financial year 2023
Chapter			Commitments	Payments	RAL	% to be settled			
			1	2	3=1-2	4=1-2/1	5	6=3+5	7
08	08 02	European Agricultural Guarantee Fund (EAGF)	4,20	0,65	3,55	84,52%	0,00	3,55	1,70
Total Title 08			4,20	0,65	3,55	84,52%	0,00	3,55	1,70
TABLE 3 : BREAKDOWN OF COMMITMENTS TO BE SETTLED AT 31/12/2024 (in Mio €) for DG DEFIS									
			Commitments to be settled				Commitments to be settled from financial years previous to 2023	Total of commitments to be settled at end of financial year 2024	Total of commitments to be settled at end of financial year 2023
Chapter			Commitments	Payments	RAL	% to be settled			
			1	2	3=1-2	4=1-2/1	5	6=3+5	7
09	09 02	Programme for the Environment and Climate Action (LIFE)	0,00	0,00	0,00	0,00%	0,09	0,09	0,60
	09 20	Pilot projects, preparatory actions, prerogatives and other actions	0,00	0,00	0,00	0,00%	0,00	0,00	0,89
Total Title 09			0,00	0,00	0,00	0,00%	0,09	0,09	1,49
TABLE 3 : BREAKDOWN OF COMMITMENTS TO BE SETTLED AT 31/12/2024 (in Mio €) for DG DEFIS									
			Commitments to be settled				Commitments to be settled from financial years previous to 2023	Total of commitments to be settled at end of financial year 2024	Total of commitments to be settled at end of financial year 2023
Chapter			Commitments	Payments	RAL	% to be settled			
			1	2	3=1-2	4=1-2/1	5	6=3+5	7
13	13 01	Support administrative expenditure of the "Security and Defence" cluster	1,02	0,18	0,85	82,72%	0,00	0,85	2,00
	13 02	European Defence Fund (EDF) Non-research	687,30	100,75	586,54	85,34%	868,91	1.455,45	1.295,10
	13 03	European Defence Fund (EDF) Research	338,68	0,36	338,32	99,89%	448,22	786,54	630,92
	13 05	Union Secure Connectivity Programme	96,00	80,00	16,00	16,67%	0,00	16,00	30,00
	13 06	Short-term Defence instrument on common procurement	258,94	0,00	258,94	100,00%	0,00	258,94	0,00

	13 07	Defence Industrial Reinforcement Instrument	358,83	123,75	235,09	65,51%	107,47	342,55	156,03
	13 20	Pilot projects, preparatory actions, prerogatives and other actions	0,00	0,00	0,00	0,00%	0,49	0,49	0,49
Total Title 13			1.740,78	305,04	1.435,73	82,48%	1.425,08	2.860,82	2.114,55
TABLE 3 : BREAKDOWN OF COMMITMENTS TO BE SETTLED AT 31/12/2024 (in Mio €) for DG DEFIS									
			Commitments to be settled				Commitments to be settled from financial years previous to 2023	Total of commitments to be settled at end of financial year 2024	Total of commitments to be settled at end of financial year 2023
Chapter			Commitments	Payments	RAL	% to be settled			
			1	2	3=1-2	4=1-2/1	5	6=3+5	7
14	14 02	Neighbourhood, Development and International Cooperation Instrument Global Europe (NDICI Global Europe)	0,00	0,00	0,00	0,00%	3,63	3,63	4,53
Total Title 14			0,00	0,00	0,00	0,00%	3,63	3,63	4,53
TABLE 3 : BREAKDOWN OF COMMITMENTS TO BE SETTLED AT 31/12/2024 (in Mio €) for DG DEFIS									
			Commitments to be settled				Commitments to be settled from financial years previous to 2023	Total of commitments to be settled at end of financial year 2024	Total of commitments to be settled at end of financial year 2023
Chapter			Commitments	Payments	RAL	% to be settled			
			1	2	3=1-2	4=1-2/1	5	6=3+5	7
20	20 02	Other staff and expenditure relating to persons	0,02	0,01	0,02	78,28%	0,00	0,02	0,01
Total Title 20			0,02	0,01	0,02	78,28%	0,00	0,02	0,01
Total Excluding NGEU			4.368,14	1.744,43	2.623,70	60,06%	2.055,53	4.679,24	3.893,77
TABLE 3 : BREAKDOWN OF COMMITMENTS TO BE SETTLED AT 31/12/2024 (in Mio €) for DG DEFIS									
			Commitments to be settled				Commitments to be settled from financial years previous to 2023	Total of commitments to be settled at end of financial year 2024	Total of commitments to be settled at end of financial year 2023
Chapter			Commitments	Payments	RAL	% to be settled			
			1	2	3=1-2	4=1-2/1	5	6=3+5	7
01	01 02	Horizon Europe	0,00	0,00	0,00	0,00%	22,51	22,51	50,36
Total Title 01			0,00	0,00	0,00	0,00%	22,51	22,51	50,36
Total NGEU Only			0,00	0,00	0,00	0,00%	22,51	22,51	50,36
Total for DG DEFIS			4.368,14	1.744,43	2.623,70	60,06 %	2.078,04	4.701,74	3.944,13

Breakdown of Commitments Remaining to be Settled (in Mio EUR) in 2024 DEFIS

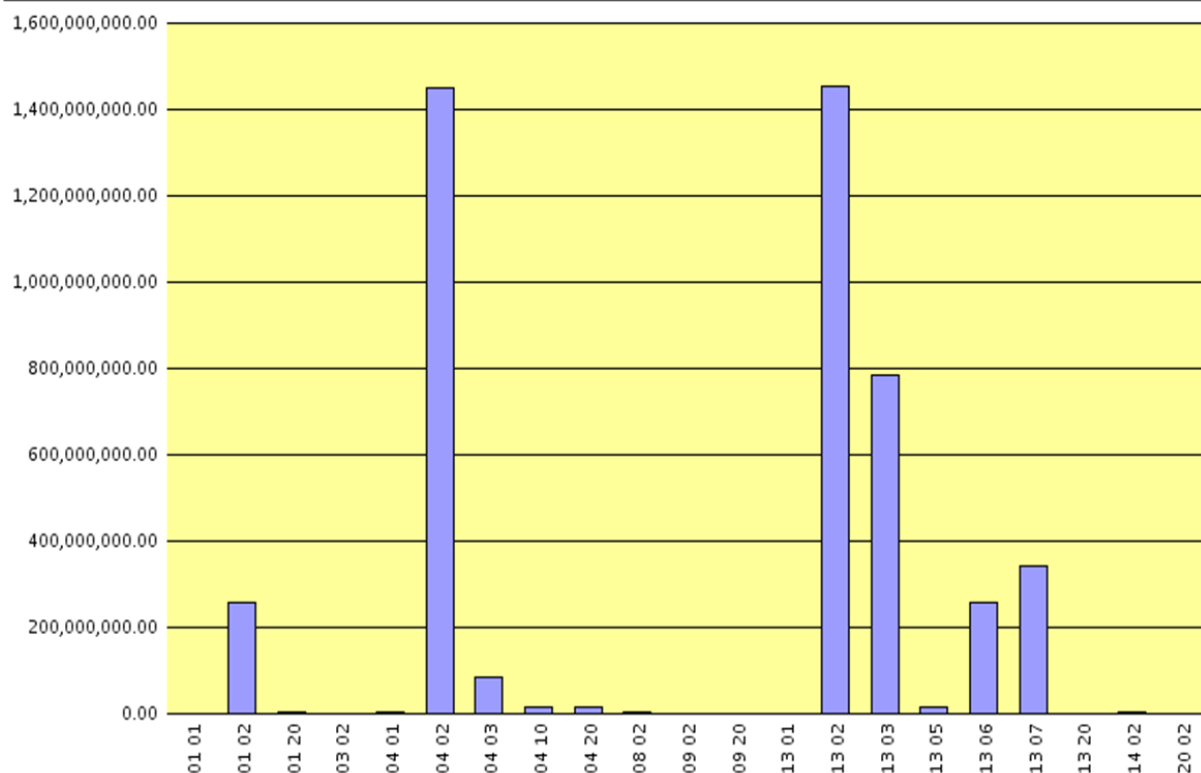


Table 4 Balance Sheet of DG DEFIS

Table 4 DEFIS Balance Sheet	2024	2023
A.I. NON CURRENT ASSETS	10.209.744.762,86	9.391.935.286,69
A.I.1. Intangible Assets	1.062.495,46	1.630.098,24
A.I.2. Property, Plant and Equipment	9.650.359.486,77	8.967.163.096,70
A.I.5. Non-Current Pre-Financing	558.322.780,63	433.142.091,75
A.II. CURRENT ASSETS	3.513.501.706,52	3.088.653.826,94
A.II.2. Current Pre-Financing	3.513.050.299,51	3.087.933.232,19
A.II.3. Curr Exch Receiv & Non-Ex Recoverables	451.407,01	720.594,75
ASSETS	13.723.246.469,38	12.480.589.113,63
P.II. CURRENT LIABILITIES	-159.933.782,26	-49.561.430,07
P.II.4. Current Payables	-49.244.567,42	-25.464.373,91
P.II.5. Current Accrued Charges & Defrd Income	-110.689.214,84	-24.097.056,16
LIABILITIES	-159.933.782,26	-49.561.430,07
NET ASSETS (ASSETS less LIABILITIES)	13.563.312.687,12	12.431.027.683,56
P.III.2. Accumulated Surplus/Deficit	7.678.204.543,43	5.663.909.490,64
DG DEFIS	0,00	0,00

TABLE 5 Statement of Financial Performance DG DEFIS

STATEMENT OF FINANCIAL PERFORMANCE	2024	2023
II.1 REVENUES	-524.876.005,76	-339.187.412,33
II.1.1. NON-EXCHANGE REVENUES	-515.482.954,85	-339.135.209,71
II.1.1.6. RECOVERY OF EXPENSES	-283.634,11	
II.1.1.8. OTHER NON-EXCHANGE REVENUES	-515.199.320,74	-339.135.209,71
II.1.2. EXCHANGE REVENUES	-9.393.050,91	-52.202,62
II.1.2.1. FINANCIAL INCOME	-12.378.175,20	-841.365,77
II.1.2.2. OTHER EXCHANGE REVENUE	2.985.124,29	789.163,15
II.2. EXPENSES	2.775.435.826,27	2.353.482.465,12
II.2. EXPENSES	2.775.435.826,27	2.353.482.465,12
II.2.11. OTHER EXPENSES	833.127.854,18	791.237.658,42
II.2.2. EXP IMPL BY COMMISS&EX.AGENC. (DM)	787.495.901,68	440.255.970,51
II.2.3. EXP IMPL BY OTH EU AGENC&BODIES (IM)	627.051.972,73	560.044.623,11
II.2.4. EXP IMPL BY 3RD CNTR & INT ORG (IM)	471.571.754,30	518.775.240,21
II.2.5. EXP IMPL BY OTHER ENTITIES (IM)	56.188.343,38	43.168.972,87
STATEMENT OF FINANCIAL PERFORMANCE	2.250.559.820,51	2.014.295.052,79

TABLE 5bis : OFF BALANCE SHEET for DG DEFIS

OFF BALANCE	2024	2023
OB.1. Contingent Assets	412.286.938,04	94.966.071,64
GR for pre-financing	412.286.938,04	94.966.071,64
OB.3. Other Significant Disclosures	-8.363.977.501,31	-7.369.892.009,99
OB.3.2. Comm against app. not yet consumed	-4.541.826.121,31	-3.894.736.764,76
OB.3.3.21. LC - Horizon EU	-518.729.378,97	-589.154.754,24
OB.3.3.4. Galileo programme	-3.303.422.001,03	-2.886.000.490,99
OB.3.3.5. GMES programme COPERNICUS		0,00
OB.4. Balancing Accounts	6.912.448.813,27	6.235.684.188,35
OB.4. Balancing Accounts	6.912.448.813,27	6.235.684.188,35
OFF BALANCE	-1.039.241.750,00	-1.039.241.750,00

Legal Times									
Maximum Payment Time (Days)	Total Nbr of Payments	Nbr of Payments within Time Limit	Percentage	Average Payment Times (Days)	Nbr of Late Payments	Percentage	Average Payment Times (Days)	Late Payments Amount	Percentage
30	496	494	99,60 %	9,97	2	0,40 %	33,00	10.224,98	0, %
60	86	86	100,00 %	28,47				0,00	0, %
90	67	67	100,00 %	53,97				0,00	0, %

Total Number of Payments	649	647	99,69 %		2	0,31 %		10224,98	0, %
Average Net Payment Time	17,03			16,98			33		
Average Gross Payment Time	23,83			23,80			33		

Suspensions							
Average Report Approval Suspension Days	Average Payment Suspension Days	Number of Suspended Payments	% of Total Number	Total Number of Payments	Amount of Suspended Payments	% of Total Amount	Total Paid Amount
0	56	79	12,17 %	649	143.932.109,83	4,00 %	3.595.748.841,59

DG	GL Account	Description	Amount (Eur)

TABLE 7 : SITUATION ON REVENUE AND INCOME in 2024 for DG DEFIS							
Chapter	Revenue and income recognised			Revenue and income cashed from			Outstanding balance
	Current year RO	Carried over RO	Total	Current Year RO	Carried over RO	Total	
	1	2	3=1+2	4	5	6=4+5	
33	302.495,79	0,00	302.495,79	302.495,79	0,00	302.495,79	0,00
40	12.378.175,20	0,00	12.378.175,20	12.378.175,20	0,00	12.378.175,20	0,00
60	146.516.780,66	291.760,84	146.808.541,50	146.516.780,66	291.760,84	146.808.541,50	0,00
64	22.573,10	428.833,91	451.407,01	0,00	0,00	0,00	451.407,01

66	SUISSE	62.262.160,86	0,00	62.262.160,86	62.262.160,86	0,00	62.262.160,86	0,00
Total DG DEFIS		221.482.185,61	720.594,75	222.202.780,36	221.459.612,51	291.760,84	221.751.373,35	451.407,01

TABLE 8 : FINANCIAL IMPACT OF EX-ANTE AND EX-POST CONTROLS in 2024for DG DEFIS		
EX-ANTE CONTROLS BY TRANSACTION	Irregularity	Total ex-ante amounts
NON-ELIGIBLE IN COST CLAIMS	7.034.307,31	7.034.307,31
CREDIT NOTES	629.352,84	629.352,84
RECOVERY ORDERS ON PRE-FINANCING		
Sub-Total	7.663.660,15	7.663.660,15

EX-POST CONTROLS BY TRANSACTION	Irregularity	Total ex-post amounts
RECOVERY ORDERS OTHER THAN ON PRE-FINANCING	283.634,11	283.634,11
INCOME LINES IN INVOICES		
Sub-Total	283.634,11	283.634,11

GRAND TOTAL (EX-ANTE + EX-POST)	7.947.294,26	7.947.294,26
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TABLE 9: AGEING BALANCE OF RECOVERY ORDERS AT 31/12/2024 for DG DEFIS						
	Number at 01/01/2024	Number at 31/12/2024	Evolution	Open Amount (Eur) at 01/01/2024	Open Amount (Eur) at 31/12/2024	Evolution
2023	2	1	-50,00 %	720.594,75	428.833,91	-40,49 %
2024		1			22.573,10	
	2	2	0,00 %	720.594,75	451.407,01	-37,36 %

TABLE 10 :Recovery Order Waivers >= 60 000 € in 2024 for DG DEFIS

Waiver Central Key	Linked RO Central Key	RO Accepted Amount (Eur)	LE Account Group	Commission Decision	Comments
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Total DG DEFIS	
----------------	--

Number of RO waivers	
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There are no waivers below 60 000 €

TABLE 11 : Negotiated Procedures in 2024 for DG DEFIS

The procedures are presented in the Annual Management and Performance Report of 2024

Negotiated Procedure Legal base	Number of Procedures	Amount (€)
Total		

TABLE 12 : Summary of Procedures in 2024 for DG DEFIS

The procedures are presented in the Annual Management and Performance Report of 2024.

The procedures are presented in the Annual Management and Performance Report of 2024

Procedure Legal base	Number of Procedures	Amount (€)
Open procedure (FR 164 (1)(a))	9	62.091.104,00
Total	9	62.091.104,00

TABLE 13 : BUILDING CONTRACTS in 2024 for DG DEFIS

Legal Base	Procedure subject	Contract Number	Contractor Name	Contract Subject	Contracted Amount (€)

TABLE 14 : CONTRACTS DECLARED SECRET in 2024 for DG DEFIS

Legal Base	LC Date	Contract Number	Contract Subject	Contracted Amount (€)

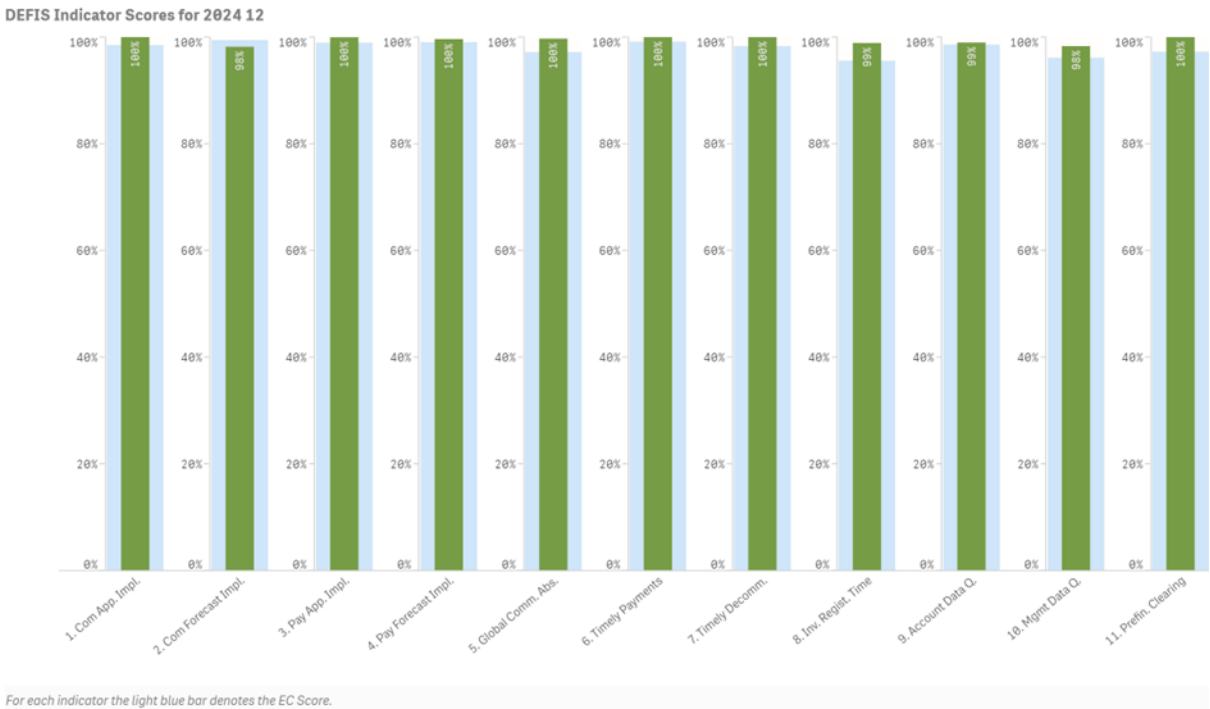
TABLE 15 : FPA duration exceeds 4 years - DG DEFIS

FFPA between the European Commission, representing the European Union and the European Union Agency for the Space Programme and the European Space Agency on the implementation of the union space programme.

FFPA between the European Union, represented by the European Commission, and the organisation for joint armament cooperation on the implementation of actions under European Defence Programmes.

TABLE 16 : Commitments co-delegation type 3 in 2024 for DG DEFIS

ANNEX 4: Financial scorecard



Indicator	Objective	Comment ^[1]	DEFIS Score	EC Score
1. Commitment Appropriations Implementation	Ensure efficient use of commitment appropriations expiring at the end of Financial Year		100 %	99%
2. Commitment Forecast Implementation	Ensure the cumulative alignment of the commitment implementation with the commitment forecast in a financial year		98 %	99%
3. Payment Appropriations Implementation	Ensure efficient use of payment appropriations expiring at the end of Financial Year		100%	99%
4. Payment Forecast Implementation	Ensure the cumulative alignment of the payment implementation with the payment forecast in a financial year		100%	99%
5. Global Commitment Absorption^[2]	Ensure efficient use of already earmarked commitment appropriations (at L1 level)		100%	97%
6. Timely Payments	Ensure efficient processing of payments within the legal deadlines	This is achieved through dedicated follow-up tables, which are regularly monitored, for all the incoming invoices and payment requests during the year.	100%	99%
7. Timely Decommitments	Ensure efficient decommitment of outstanding RAL at the end of commitment life cycle		100%	98%
8. Invoice Registration Time	Monitor the accounting risk stemming from late registration of invoices in the central accounting system ABAC		99%	96%
9. Accounting Data Quality	Ensure the good data quality of ABAC transactions with the focus on fields having a primary impact on the accounts		99%	99%

Indicator	Objective	Comment ^[1]	DEFIS Score	EC Score
10. Management Data Quality	Ensure the good data quality of ABAC transactions with the focus on fields having a primary impact on the management decisions		98%	96%
11. Timely Invoice PF clearing	Ensure efficient clearing by invoices of prefinancing payments within the invoice payment time limit		100%	100%

^[1] An explanation behind the indicator result can be provided, e.g. the comment about the achievement itself, reference to the whole Commission performance (better or worse), reasons behind this achievement. The comment is mandatory for the 'Timely payments' indicator. For the rest of indicators, the comment is mandatory only if the score is equal or below the target of 80%.

^[2] Due to technical limitation: 1. the indicator does not take into account the Com L1 Consumption between the FDC ILC date and the FA FDI allowed as an exception in the external actions for Com L1 of type GF, i.e. with Financing Agreement, under the FR2018 Article 114.2. 2. it is technically not possible to exclude the decommitment of RAL (C8) which is subsequently re-committed for a new purpose. As a result, the actual Indicator score may be slightly higher than the one reported for DGs using the GF commitments.

ANNEX 5: Materiality criteria

The present document details the way DEFIS assesses the level of errors in its annual financial statements and the definition of the level of misstatement that is considered as quantitatively material. The overall control objective is to ensure that the residual error rate affecting the relevant expenditure of 2024 remains below 2%.

DEFIS' expenditure is composed of (in order of importance), indirectly managed procurement (space) and grants (H2020, Horizon Europe), directly managed grants (EDIDP, EDF) and other direct spending mostly of an administrative nature. The error rate affecting payments is estimated yearly and per management system, following a methodology that considers the risk associated to the type of expenditure (in terms of probability and final financial impact).

DEFIS managed in 2024 financial operations under GNSS (Galileo, Egnos), Copernicus, H2020, Horizon Europe and other programmes such as EDF, EDIDP and ASAP. Considering that the largest part of DEFIS' yearly expenditure is related to indirectly managed Space agreements, the following section focusses on this specific management system.

Since 2019⁽⁴³⁾, a 'de minimis' threshold for financial reservations has been introduced. Quantified annual activity report reservations related to residual error rates above the 2% materiality threshold are deemed not substantial for segments representing less than 5% of a Department's total payments and with a financial impact below EUR 5 million. In such cases, quantified reservations are no longer needed. Cases where the 'de minimis' threshold applies this year are reported in Annex 9, which is not applicable to DG DEFIS.

A. Space programmes (GNSS, Copernicus)

The assessment of the effectiveness of the different programmes' control system is based on ex-ante verification and on ex-post audits' results. The effectiveness is expressed in terms of detected and residual error rate, calculated from the best available estimates.

Assurance on the efficient use of delegated fund is obtained through the following elements:

- Before signing a Contribution agreement (Delegation agreement under previous MFF), the entrusted entity undergoes a pillar assessment on its internal control environment.
- Pre-financing payments are subject to ex-ante operational and financial verification of the quarterly/semestrial and annual implementation reports (respectively QIRs/SIRs and AIRs) provided by entrusted entities; assessing the reliability of budgetary data; keeping an up to date overview of commitments and payments forecasted and executed; ensuring that actual and forecasted expenses remain within the allocated budget; checking actual expenditure versus forecast, and updating cash needs and level of commitments; developing a long-term financial planning covering the full MFF; verifying consistency of figures and challenging costs reported based on information provided; justifying acceptance of costs and clearings, analysing the

⁽⁴³⁾ Agreement of the Corporate Management Board of 30/4/2019.

schedule, its credibility and challenging it, if needed; analysing the risks and the effectiveness of the mitigation actions proposed; analysing the KPIs (key performance indicators) and ensuring they are in the limits requested by the programme.

- In depth ex-ante controls of accounting data, ex-ante checks of reported costs on assets at year-end (review of status of contracts)
- Ex-post audits performed by DG DEFIS on annual declared cost. For ESA and EUSPA, most Annual Implementation Reports under the different programmes are audited every year. The other entrusted entities are audited usually every two years.

The errors detected during the audits have no impact on the legality and regularity of the amounts paid to the entities, because the final annual eligible costs, considering audit adjustments, are cleared from the total outstanding pre-financing amount.

The error rates used for the calculation of the amount at risk at payments for each programme are the detected error rates stemming from the finalised ex-post audits performed for the respective year. The detected error rate is calculated as a comparison between the errors and the amount of the audited sample of the AIR. As all errors are corrected through adjustments in the clearing, the detected error rate for Space programmes is equal to the residual error rate.

DG DEFIS considers that the error rates detected by its audits are a reliable indicator for the legality and regularity of the non-audited transactions. Furthermore, based on its monitoring and supervision, DG DEFIS considers that the level of error remains relatively stable over the years. Even if the error rate happens to be very low DG DEFIS decided to use an error rate of 0.5% as a conservative approach.

B. Research framework programmes – common aspects

This Annex provides a detailed explanation on how the Authorising Officer by Delegation defined the materiality threshold as a basis for determining whether significant weaknesses should be subject to a formal reservation to his/her declaration.

Introduction

Deciding on whether a weakness is significant is a **matter of judgement** by the Authorising Officer by Delegation, who remains responsible for the declaration of assurance, including any reservations to it. In doing so, he/she should **identify the overall impact of a weakness** and **judge whether it is material** enough so that the non-disclosure of the weakness is likely to have an influence on the decisions or conclusions of the users of the declaration. The benchmark for this judgement is the materiality criteria which the AOD sets when designing the internal control system under his/her responsibility. For DG R&I, the materiality of residual weaknesses identified (i.e. after mitigating and corrective measures) is assessed based on qualitative and/or quantitative criteria, in line with the instructions for the preparation of the Annual Activity Report.

The **qualitative assessment** includes an analysis of the causes and the types of error (including whether they are repetitive) to conclude on the nature, context and/or scope of the weaknesses identified. This may refer to significant control system weaknesses or critical

issues reported by the Directors, the Authorising Officers by Sub-Delegation, the European Court of Auditors (ECA), the Internal Audit Service (IAS), DG BUDG or OLAF. Also, the duration and any mitigating controls or corrective actions are taken into consideration.

The **quantitative assessment** aims at estimating any financial impact ("amount at risk") resulting from the errors detected. DG R&I has set the materiality level for each distinct research framework programme with coherent risk characteristics for the amount at risk over the programming period. This analysis and the conclusions are presented concisely in the body of the Annual Activity report.

Chapter A – Qualitative criteria for defining significant weaknesses

For all methods of implementation under its operational budget, the different parameters relevant in DG R&I for determining significant weaknesses are the following ones:

- **Significant control system weaknesses**

Control system weaknesses (whether this is in a system operated by the Commission or by a third party) may be identified by management itself (for example through ex-post audits or through the assessment of the effectiveness of internal control systems), by internal or external auditors or by third party control instances. They may relate to the design or operational effectiveness of a control or of an entire system.

- **Critical issues outlined by the European Court of Auditors, the Internal Audit Service, DG BUDG and OLAF.**

Any critical recommendations made by the European Court of Auditors, the IAS, DG BUDG or OLAF, which have not been effectively addressed should be assessed in terms of their significance. Here, the term "critical recommendation" is used in a wider sense; it includes those recommendations labelled by the auditor as "critical" as well as those not labelled at all which is assessed as having a critical impact on the assurance. The impact on assurance of recommendations labelled "very important" for which there is a significant delay in the implementation of the Action Plan will also be taken into account.

- **Significant reputational events**

Events or weaknesses which have a significant reputational impact on DG R&I, or indirectly on the Commission, will be reported irrespective of the amount of damage to DG R&I administrative and operational budget and will be considered for issuing a reservation on a reputational basis.

When assessing the significance of any weaknesses, the following factors are considered:

- the nature and scope of the weakness;
- the duration of the weakness;
- the existence of compensatory measures (mitigating controls which reduce the impact of the weakness)
- the existence of effective corrective actions to correct the weaknesses (Action Plans and financial corrections) which have had a measurable impact.

When significant weaknesses are identified, a quantification of the amount at risk should be carried out when possible (See Chapter B).

Chapter B – Quantitative criteria for defining reservations

DG Research and Innovation's expenditure is composed of indirectly managed grants, directly managed grants, financial instruments, contribution to administrative expenditure of Executive Agencies and other direct spending mostly of an administrative nature. The error rate affecting payments is estimated yearly and per management system, following a methodology that takes into account the risk associated to the type of expenditure.

Considering the fact that the research framework programmes' implementing bodies ⁽⁴⁴⁾ are sharing a common ex-post audit approach, and an important part of DG R&I yearly expenditure is related to indirectly or directly managed research grants, the following section focusses on this specific management system.

Research framework programmes – common aspects

The assessment of the effectiveness of the different programmes' control system is based mainly, but not exclusively, on ex-post audits' results. The effectiveness is expressed in terms of detected and residual error rate, calculated on a representative sample on a multi-annual basis.

Assessment of the effectiveness of controls

The starting point to determine the effectiveness of the controls in place is the cumulative level of error expressed as the percentage of errors in favour of the EC budget, detected by ex-post controls, measured with respect to the amounts accepted after ex-ante controls.

However, to take into account the impact of the ex-post controls, this error level is adjusted by subtracting:

- Errors detected and corrected as a result of the implementation of audit conclusions.
- Errors corrected as a result of the extension of audit results to non-audited contracts with the same beneficiary.

This results in a residual error rate —used for H2020 and Horizon Europe—which is calculated as follows:

where:

ResER%	residual error rate, expressed as a percentage.
RepER%	representative error rate, or error rate detected in the common representative sample, expressed as a percentage. The RepER% is

⁽⁴⁴⁾ Directorates General, Executive Agencies and Joint Undertakings (also called Article 187 bodies) implementing grants of the Research Framework Programmes.

composed of complementary portions reflecting the proportion of negative systemic and non-systemic errors detected. This rate is the same for all implementing entities, without prejudice to possibly individual detected error rates.

- RepERsys%** portion of the RepER% representing negative systemic errors, (expressed as a percentage). The RepERsys% is the same for all entities and it is calculated from the same set of results as the RepER%
- P** total requested EC contribution (€) in the auditable population (i.e. all paid financial statements).
- A** total requested EC contribution (€) as approved by financial officers of all audited financial statements. This will be collected from audit results.
- E** total non-audited requested EC contribution (€) of all audited beneficiaries.

The Common Representative Sample (CRS) is the starting point for the calculation of the residual error rate. It is representative of the expenditure of each FP as a whole. Nevertheless, the Director-General (or Director for the Executive Agencies) must also take into account other information when considering if the overall residual error rate is a sufficient basis on which to draw a conclusion on assurance (or make a reservation) for specific segment(s) of Horizon 2020/Horizon Europe. This information may include the results of other ex-post controls, ex-ante controls, risk assessments, audit reports from external or internal auditors, among others. All this information may be used in assessing the overall impact of a weakness and considering whether to make a reservation or not.

If the CRS results are not used as the basis for calculating the residual error rate this must be clearly disclosed in the AAR, along with details of why and how the final judgement was made.

Should a calculation of the residual error rate based on a representative sample not be possible for a FP for reasons not involving control deficiencies ⁽⁴⁵⁾, the consequences are to be assessed quantitatively by making a best estimate of the likely exposure for the reporting year based on all available information. The relative impact on the Declaration of Assurance would then be considered by analysing the available information on qualitative grounds and considering evidence from other sources and areas. This should be clearly explained in the AAR.

⁽⁴⁵⁾ Such as, for instance, when the number of results from a statistically representative sample collected at a given point in time is not sufficient to calculate a reliable error rate.

Multiannual approach

The Commission's central services' guidance relating to the quantitative materiality threshold refers to a percentage of the authorised payments of the reporting year of the Activity Based Budgeting (ABB) expenditure. However, the Guidance on AARs also allows a multi-annual approach, especially for budget areas (e.g., programmes) for which a multi-annual control system is more effective. In such cases, the calculation of errors, corrections, and materiality of the residual amount at risk should be done on a "cumulative basis" on the basis of the totals over the entire programme lifecycle.

Because of its multiannual nature, the effectiveness of the Research and Innovation family services' control strategy can only be fully measured and assessed at the final stages in the life of the framework programme, once the ex-post audit strategy has been fully implemented and systemic errors have been detected and corrected.

In addition, basing materiality solely on ABB expenditure for one year may not provide the most appropriate basis for judgements, as ABB expenditure often includes significant levels of pre-financing expenditure (e.g., during the initial years of a new generation of programmes), as well as reimbursements (interim and final payments) based on cost claims that 'clear' those pre-financings. Pre-financing expenditure is very low risk, being paid automatically after the signature of the contract.

Notwithstanding the multiannual span of their control strategy, the Directors-General (and the Directors of the Executive Agencies and Joint Undertakings) implementing Research and Innovation Framework Programmes are required to sign a statement of assurance for each financial reporting year. In order to determine whether to qualify this statement of assurance with a reservation, the effectiveness of the control systems in place needs to be assessed not only for the year of reference but also with a multiannual perspective, to determine whether it is possible to reasonably conclude that the control objectives will be met in the future as foreseen.

In view of the crucial role of ex-post audits defined in the respective common audit strategies, this assessment needs to check in particular whether the scope and results of the ex-post audits carried out until the end of the reporting period are sufficient and adequate to meet the multiannual control strategy goals.

The criteria for making a decision on whether there is material error in the expenditure of the DG or service, and thus, on whether to make a reservation in the AAR, will therefore be principally, though not necessarily exclusively, based on the level of error identified in ex-post audits of cost claims on a multi-annual basis.

Adequacy of the audit scope

The quantity of the (cumulative) audit effort carried out until the end of each year is measured by the actual volume of audits completed. The data is to be shown per year and cumulated, in line with the current AAR presentation of error rates. The multiannual planning and results should be reported in sufficient detail to allow the reader to form an opinion on whether the strategy is on course as foreseen.

The Director-General (or Director for the Executive Agencies) should form a qualitative opinion to determine whether deviations from the multiannual plan are of such significance that they seriously endanger the achievement of the internal control objective. In such a case, they would be expected to qualify their annual statement of assurance with a reservation.

Research Framework programmes – specific aspects

The control system of each framework programme is designed to achieve the operational and financial control objectives set in their respective legislative base and legal framework. If the effectiveness of those control systems does not reach the expected level, a reservation must be issued in the annual activity report and corrective measures should be taken.

As each programme has a different control system, the following section details the considerations leading to the establishment of their respective materiality threshold and the conclusions to draw with regard to the declaration of assurance.

Horizon 2020 Framework Programme

The control system established for Horizon 2020 is designed to achieve a control result in a range of 2-5% detected error rate, which should be as close as possible to 2%, after corrections. Consequently, this range has been considered in the legislation as the control objective set for the framework programme.

This is based on the provision of the Commission's proposal for the Regulation establishing the Horizon 2020 Framework Programme ⁽⁴⁶⁾ states that:

It remains the ultimate objective of the Commission to achieve a residual error rate of less than 2% of total expenditure over the lifetime of the programme, and to that end, it has introduced a number of simplification measures. However, other objectives such as the attractiveness and the success of the EU research policy, international competitiveness, scientific excellence and in particular, the costs of controls need to be considered.

Taking these elements in balance, it is proposed that the Directorates General charged with the implementation of the research and innovation budget will establish a cost-effective internal control system that will give reasonable assurance that the risk of error over the course of the multiannual expenditure period is, on an annual basis, within a range of 2-5%, with the ultimate aim to achieve a residual level of error as close as possible to 2 % at the closure of the multi-annual programmes, once the financial impact of all audits, correction and recovery measures have been taken into account.

Horizon 2020 introduces a significant number of important simplification measures that will lower the error rate in all the categories of error. However, [...] the continuation of a funding model based on the reimbursement of actual costs is the favoured option. A systematic resort to output-based funding, flat rates or lump sums appears premature at this stage [...].

⁽⁴⁶⁾ COM(2011) 809/3 Proposal for a Regulation of the European Parliament and of the Council establishing Horizon 2020 – the Framework programme for Research and Innovation (2014-2020), see point 2.2, pp 98-102.

Retaining a system based on the reimbursement of actual costs does however mean that errors will continue to occur.

An analysis of errors identified during audits of the Seventh Framework Programme (FP7) suggests that around 25-35 % of them would be avoided by the simplification measures proposed. The error rate can then be expected to fall by 1.5 %, i.e. from close to 5 % to around 3.5 %, a figure that is referred to in the Commission Communication striking the right balance between the administrative costs of control and the risk of error.

The Commission considers therefore that, for research spending under Horizon 2020, a risk of error, on an annual basis, within a range between 2-5 % is a realistic objective taking into account the costs of controls, the simplification measures proposed to reduce the complexity of rules and the related inherent risk associated to the reimbursement of costs of the research project. The ultimate aim for the residual level of error at the closure of the programmes after the financial impact of all audits, correction and recovery measures will have been taken into account is to achieve a level as close as possible to 2 %.

Horizon Europe Framework Programme

For Horizon Europe Framework Programme ⁽⁴⁷⁾ ⁽⁴⁸⁾the general control objective, following the standard quantitative materiality threshold proposed in the standing instructions for Annual Activity Reports, is to ensure that the cumulative representative error rate and the cumulative residual error rate, i.e. the level of errors which remain undetected and uncorrected, does not exceed 2% on an annual basis. An AAR reservation will be issued in the Annual Activity Report if the cumulative residual error rate is above the 2% materiality threshold.

⁽⁴⁷⁾ Regulation (EU) 2021/695 of the European Parliament and of the Council of 28 April 2021 establishing Horizon Europe

⁽⁴⁸⁾ This general control objective described for Horizon Europe is also applicable to FP7 framework programme legacy.

ANNEX 6: Relevant Control System(s) for budget implementation (RCSs)

ANNEX I: Relevant Control System(s) for budget implementation (RCSs)

RCS N°1: Budget entrusted to other entities

This RCS covers:

- (1) under indirect management, the agreements with **ESA** for the EGNSS, Galileo FOC, EGNOS, Copernicus, SSA, GOVSATCOM, IOD/IOV and IRIS²
- (2) under indirect management, the agreement with **EUSPA** for the space programme components, horizontal activities, research activities and past agreements for EGNSS
- (3) under indirect management, Copernicus agreements with **EUMETSAT**, **ECMWF**, **EEA**, **EMSA**, **FRONTEX**, **MERCATOR OCEAN**, **SATCEN**
- (3) under indirect management, the agreements with **OCCAR** and **EDA** for defence industry programmes
- (4) cross sub-delegations to **other Commission services** (such as JRC).

Stage 1 – Establishment (or prolongation) of the mandate to the entrusted entity (EE)

Main control objectives: Ensure that the legal framework for the management of the relevant funds is fully compliant and regular (legality & regularity), that is delegated to the appropriate entity (best value for public money, economy, efficiency), without any conflicts of interests (anti-fraud strategy) and gives all the rules necessary for a smooth running by the EE.

Main risks	Mitigating controls	Coverage, frequency and depth	Cost-Effectiveness indicators (three E's)
The Financial Framework Partnership Agreement (FFPA) with EUSPA and ESA and Contributions Agreement (CA) does not clearly set out: - delegated tasks, responsibilities of each involved actor - internal control and reporting	Take the <i>lessons learned</i> from prior similar CAs Ex-ante review by the relevant staff within DG DEFIS Consultation of the central EU services (DG BUDG, Legal Service) Hierarchical validation within the	Coverage/Frequency: 100 %/once Depth: Checklist includes a list of the requirements of the regulatory provisions to be complied with. Factors would be (i) whether it is an establishment or a prolongation, (ii) whether it	Costs: estimation of FTEs involved in the preparation and adoption work Benefits: - Total budget amount entrusted to the entity in case of detection of no significant (legal) errors - DG DEFIS reputation intact

Main risks	Mitigating controls	Coverage, frequency and depth	Cost-Effectiveness indicators (three E's)
requirements to be observed - arrangements for protection of EU financial interests and transparency of operations - right of the European Court of Auditors (ECA) and the European Anti-Fraud Office (OLAF) to comprehensively exert their competences to audit the entrusted funds Specific risks related to industrial procurement to be carried out by ESA on behalf of DG DEFIS in the complex oligopolistic space market Specific risks related to industrial procurement to be carried out by GSA in the complex oligopolistic space market	authorising directorate Describe modalities of cooperation, supervision and reporting in the FFPA and CA Explicit allocation of supervision responsibility to individual officials (reflected in task assignment or function descriptions) Ex-ante verification of the procurement procedures carried out by the EE in their own name (for example: EC procurement board with ESA), or on behalf of the EU Scrutiny verification by DG DEFIS of industrial procurements procedures carried out by EUSPA	involves selecting an entity and (iii) consistency with any other entities entrusted by the same DG or family.	Effectiveness: - Quality of the legal work (Basic Act, Legal and Financial Statement and CA) - no ECA or OLAF observations Efficiency: - Average cost of preparation, adoption work done compared with similar cases as benchmark Economy: - ratio FTEs/funds entrusted (economic when below 10-15 %)

Stage 2 – Ex-ante (re)assessment of the entrusted entities financial and control framework

Main control objectives: Ensuring that the EE is fully prepared to start/continue implementing the delegated funds autonomously as requested by the Financial Regulation (Art. 154.4).

Main risks	Mitigating controls	Coverage, frequency and depth	Cost-Effectiveness indicators (three E's)
- Before entrusting tasks of budget implementation to the EE, DG DEFIS has not obtained evidence that the financial and control framework deployed by the EE is sufficiently mature - The EE's own financial framework differs from the EU FR and the two parallel systems coexist with the risk of the EE's own system being applied to EU funds - The EE has not timely informed DG DEFIS about substantial changes made to its systems, rules and procedures that relate to the management of the EU funds entrusted	- DG DEFIS internal or independent external ex-ante assessment of the EE ensuring that there is the same level of protection of the financial interests of the Union equivalent to the one that is provided for when the Commission implements the EU budget (Article 62 FR¹⁴) - Hierarchical validation within the authorising directorate - Require justification and prior consent for any deviation to financial rules (e.g. Riders or Contract Change Notices) - Require timely notification by the EE of any changes to its financial or control systems subsequent to the signature of	Coverage/frequency: - International organisations: prior to the signature, assessment of internal control system of the EE followed if necessary by ad hoc targeted system controls - Agencies: targeted system controls/ad hoc Depth: - 100 %	Costs: - estimation of FTEs involved in the ex-ante assessment process (including missions) - cost of outsourced independent external "pillar" (re)assessment of the EE's control system(s), if not covered by the EE Benefits: - Total budget amount entrusted to the EE if no significant system weaknesses are detected - DG's reputation remains intact Effectiveness: - no ECA or IAS observations - n° of recommendations proposed to EE as result of assessment (i.e.

¹⁴ The future entrusted entities must meet requirements with regard to the following nine "pillars": 1. the internal control system, 2. the accounting system, 3. an independent external audit, as well as rules and procedures for: 4. providing financing from EU funds through grants (optional), 5. procurement (optional), 6. financial instruments (optional), 7. exclusion from access to funding, 8. publication of information on recipients, 9. protection of personal data.

Main risks	Mitigating controls	Coverage, frequency and depth	Cost-Effectiveness indicators (three E's)
	the CA - Statement obtained from another DG which also has a CA with the EE (cross-reliance of pillar assessments and exemptions)		deviations from EU FR identified) - quality of ex-ante assessment Efficiency Indicators: - Time-To-Implement recommendations (by the EE) - Time-To-(Re)Assess Economy: ratio FTEs/funds entrusted (economic when below 10-15 %)

Stage 3 – Implementation: monitoring, supervision, reporting

Main control objectives: Ensure that the FFPA/CA objectives are achieved and that DG DEFIS is fully and timely informed of any relevant management issues encountered by the EE, in order to possibly mitigate potential financial and/or reputational impacts (legality & regularity, sound financial management, true and fair view reporting, anti-fraud strategy).

Main risks	Mitigating controls	Coverage, frequency and depth	Cost-Effectiveness indicators (three E's)
- Low quality programme results, delayed programme implementation, non-achievement of policy objectives / desired impact on society. - Due to weak modalities of cooperation, supervision and reporting, DG DEFIS is not	Detailed reporting modalities included in FFPA/CA (incl. regular programme evaluation). Reinforced monitoring: - increased participation in EE's governance bodies and technical committees - detailed analysis of all reports submitted by the EE; if necessary,	Coverage: 100 % of the entities are monitored/supervised. Frequency: - daily (operational/financial/technical issues) - monthly (briefings and reports for high level governance meetings) - quarterly (report analysis)	Costs: estimation of FTEs involved in monitoring and supervision (including missions). Benefits: - Total budget amount entrusted to the EE if no significant (legal, management, accounting, fraud, reporting) errors are detected

Main risks	Mitigating controls	Coverage, frequency and depth	Cost-Effectiveness indicators (three E's)
fully and timely informed of relevant financial and/or management issues encountered by the EE, and/or does not (timely) react upon notified issues by mitigating them or by making a reservation for them – which may reflect negatively on the DG's governance reputation and quality of accountability reporting. - EE's financial and control systems are not functioning as expected, even though the outcome of the system (re)assessment was satisfactory (e.g. assets not correctly registered in EEs accounts) - EE's procedures are changed during the mandate	request additional ad hoc reports - outsourcing of technical assistance on general programme management and ad hoc topics (e.g. asset management, systems audits) - regular EE audits by DG DEFIS, IAS, ECA and close follow-up of implementation of audit recommendations - management review of the supervision results (e.g. regular DEFIS-ESA meeting at Director-General level) - monthly EC/ESA/EUSPA directors meetings to tackle specific issues - set up of ad hoc DEFIS - EE Task Forces to tackle problematic issues - if necessary, referral to OLAF - DG DEFIS is informed in due time of changes in order to assess the impact on the implementation of EU funds and agree or not on changes	- annual (AOXD reports, review of Annual Reports for reservations) <u>In case of</u> operational / financial issues, measures are reinforced. The depth depends on the <u>mandate</u> given to the entity, and on the level of DG DEFIS access to the EE's internal control information.	- DG's reputation remains intact Effectiveness: - FFPA/CA objectives achieved on time - cut-off and closure exercise carried out within deadline - relevance, reliability and quality of control data reported back by EE - n° of serious IAS or ECA findings on control failures - n° of regular monitoring actions, n° of issues under reinforced monitoring, budget % value and amount of errors detected ex-post - Parent DG's AAR assurance on EEs budgets Efficiency Indicators: - no amendments to FFPA/CA to extend programme implementation deadline - FFPA/CA renewed - Time-To-Implement audit recommendations Economy: - ratio FTEs/funds entrusted (economic when below 10-15 %)

Stage 4 – Commission contribution: payment or suspension/interruption

Main control objectives: Ensure that the Commission fully assesses the management situation at the entrusted entity (EE), before either paying out the (next) financial contribution for the operational and/or operating budget of the entity, or deciding to suspend/interrupt the (next) contribution (legality & regularity, sound financial management, anti-fraud strategy).

Main risks	Mitigating controls	Coverage, frequency and depth	Cost-Effectiveness indicators (three E's)
The Commission pays out the (next) contribution to the entrusted entity: - while not being aware of management issues that may lead to financial and/or reputational damage - despite being aware of such issues - with incorrect calculation of the cash needs of the entrusted entity - with no implementation of the audit results by the entrusted entity	- Require EE to report back on management issues as soon as possible - Ex-ante operational and financial verifications leading to correction of errors and restatement of corrected contribution request - Management review of supervision results - Hierarchical validation of contribution payment and recovery of non-used funds - If necessary, suspension or interruption of payments	Coverage: 100 % of the contribution payments. Frequency: as per transfer agreement or transfer request The depth depends on the <u>mandate</u> of the (type of) entity, inter alia whether DG DEFIS has full access to the entity's internal control information.	Costs: estimation of FTEs involved in the ex-ante verifications Benefits: - value of errors detected by ex-ante controls - Total budget amount entrusted to the entity if no significant (legal, management, accounting, fraud, reporting) errors are detected - DG's reputation remains intact Effectiveness: - amount of unused operating budget recovered (if any) - budget amount of the suspended/interrupted payments (if any). Efficiency Indicators: - Time-To-Pay /Recover Economy: - ratio FTEs/funds entrusted (economic when below 10-15 %)

Stage 5 – Audit and evaluation

Main control objectives: Ensuring that assurance building information on the EE's activities is being provided through independent sources as well, which may confirm or contradict the management reporting received from the entrusted entity itself.

Main risks	Mitigating controls	Coverage, frequency and depth	Cost-Effectiveness indicators (three E's)
- The Commission has insufficient information from independent sources on the EE's management achievements, which prevents drawing conclusions on the assurance for the budget entrusted to the Entity – which may reflect negatively on the Commission's governance reputation and quality of accountability reporting - Decentralised agencies do not fully cooperate with the Discharge authorities and do not provide, as appropriate, any necessary additional information - The entrusted AOXD's control system is subject to AAR reservations and/or ECA criticism - EE refuses access to facilities/information on the basis of classification of the	- FFPA/CA to specify independent audit function and cooperation with IAS and ECA - DG DEFIS own on-the-spot ex-post audits of the EE and/or its beneficiaries - potential escalation of any major governance-related issues - Interim evaluations by independent experts of achievement of policy objectives - if necessary, refer to OLAF - auditors in possession of a personal security clearance	Coverage: All delegation agreement and contribution agreements are checked through samples. Regarding the subsidy paid to EUSPA, the budget executed on behalf of DG DEFIS, is checked by the European Court of Auditors. DG DEFIS does not perform ex-post audits on this subsidy of this agency. The AOXD's systems are presumed to be up to Commission standards. Frequency: <u>Space</u>: once a year or every second year, depending on the entrusted entity. <u>Defence</u>: Each Organisation could be subject to an audit before the closure of the programmes. The depth depends on the <u>mandate</u> of the (type of) entity, inter alia whether the Commission has full access to the entity's internal control information.	Costs: - estimation of FTEs involved in the coordination and execution of the own audits - Ex-post audit mission costs - Cost of outsourced audits Benefits: - Assurance of the AOD that the population audited is clean of error - % rate and value of errors detected by own audits (and subsequently corrected) Effectiveness: - unqualified opinion by the EE's independent external auditor on the EE's annual financial statements - detected error rate of own ex-post audits of EE below materiality threshold - n° of own audits - n° and amount of errors detected by own audits

Main risks	Mitigating controls	Coverage, frequency and depth	Cost-Effectiveness indicators (three E's)
information			Efficiency: - value of total payments audited - Number of audits launched in the year versus annual target - Number of audits closed in the year versus annual target Economy: - ratio: annual cost of own audits / amount of all errors detected - average cost per audit

RCS N°2: Assets

RCS N° 2: Assets

This RCS covers: the physical assets of the EGNSS and Copernicus space programmes

Stage 1 – Recognition: establishment of the Commission's rights on assets in the underlying agreements

Main control objectives: Negotiation of contractual terms. Ensure that the legal framework (agreements with entrusted entities) for the management of the EU assets is fully compliant and regular (legality & regularity) with an appropriate set-up of requirements related to the safeguarding of assets, inventory management and accounting information (true and fair view).

Main risks	Mitigating controls	Coverage, frequency and depth	Cost-Effectiveness indicators (three E's)
FFPA/contribution agreement does not clearly set out: - delegated tasks - the requirements related to the ownership, safeguarding and management of EU property - internal control and reporting requirements - arrangements for protection of EU financial interests and transparency of financial operations - right of the European Court of Auditors (ECA) and the European Anti-Fraud Office (OLAF) to comprehensively exert their competences to audit the entrusted funds	1) Investment of adequate time and effort in drafting the new contribution agreement: - Inter-service consultation of relevant Commission services - Detailed and unambiguous modalities of cooperation, supervision and reporting - Stipulations with regard to transfer of ownership and the detailed asset management and reporting requirements	Coverage/Frequency 100 %/once Depth: In-depth control, full investment of DG DEFIS operational, financial and legal units	Costs: estimation of FTEs involved in the preparation and adoption work Benefits: - Proper safeguarding of the EU property - DG DEFIS reputation intact - Cost-efficient implementation of the agreements Effectiveness: - Quality of the legal work (Basic Act, Legal and Financial Statement and DA) - Timely receipt of adequate reporting in line with requirements agreements - no ECA, IAS or OLAF criticism Efficiency: - Time and average cost of preparation, adoption work done compared with similar cases as benchmark Economy: - ratio FTEs/funds entrusted (economic when below 2 %)

Stage 2 – Protection: recording, ensuring correct asset valuation

Main control objectives: Ensuring reliable and accurate asset valuation and reporting (true and fair view)

Main risks	Mitigating controls	Coverage, frequency and depth	Cost-Effectiveness indicators (three E's)
The implementation of the Agreements entails weaknesses, which lead to the Commission's legal rights in terms of assets ownerships not being duly protected and/or registered and/or reliably reported Non respect of EU accounting rules regarding assets and inventories Inaccurate valuation of assets	Clear programme specific accounting guidelines, inspection, depreciation and de-commissioning rules Formal agreement of Accounting Officer asked for accounting decisions with a material impact Organisation of asset workshops with the entrusted entities Regular meetings of the asset working group with members from the accounting team, DG for Budget and operational units In depth ex-ante controls of accounting data, including sample-wise ex-ante checks of underlying cost and regular checks of inventories	Coverage/Frequency: Full coverage/yearly Depth: In-depth control, full investment of DG DEFIS accounting team in co-operation with operational units	Costs: estimation of cost of staff involved. Cost of the contracted services (if applicable) Benefits: The (average annual) total value of the significant errors detected and thus prevented in terms of the Commission's rights Effectiveness: Number of material internal and external audit findings about incorrect valuation of assets The valuation of assets within the deadlines imposed by the Directorate-general for Budget Efficiency: Time spent on controls related to the asset value Economy: Cost of valuation and accounting of the Commission's assets and evolution over time

Stage 3 – Overall monitoring of proper safeguarding of assets

Main control objectives: Ensuring that the Commission's property is safeguarded adequately

Main risks	Mitigating controls	Coverage, frequency and depth	Cost-Effectiveness indicators (three E's)
Lack of complete and reliable assets register Lack of safeguarding of assets (for example assets lost, damaged or disposed without prior permission of the EU)	Review the controls strategy with an emphasis on documenting the existing control Monitoring reports provided by the relevant asset manager/inventory Physical inspection of assets under EU ownership Defines formal procedure for disposal of assets Other monitoring measures adequate to the programme (i.e. monitoring of asset performance, signal provision)	Performance of physical inspections on the basis of the Multiannual assets verification programme on a materiality based approach. Annual review of reports provided by the entrusted entities	Costs: estimation of cost of staff & missions involved. Benefits: assurance on the existence and safeguarding of the total value of EU assets Budget value of items lost detected Effectiveness: Value of assets inspected per three years as % of net asset (equipment) value Number of follow-up actions Efficiency: Time spent and cost of missions related to the value of assets inspected Economy: Cost of inspections of the EU assets and evolution over time

Stage 4 - Ex-Post controls: supervision monitoring, reviews, audits – plus corrections

Main control objectives: Measuring the effectiveness of ex-ante controls; detect and correct any error with regard to the underlying cost remaining undetected after the implementation of ex-ante controls. Ensuring that the appropriate corrections are being made

Main risks	Mitigating controls	Coverage, frequency and depth	Cost-Effectiveness indicators (three E's)
The ex-ante controls fail to prevent, detect and correct errors in the valuation of the assets	Ex-post audits of cost reported by the entrusted entities that form the basis for the EU asset valuation	Coverage ex post audits: - Representative sample: random or statistical sample sufficiently representative to draw valid management conclusions - Risk-based sample, determined in accordance with the selected risk criteria, aimed to maximise error correction (either higher amounts or expected error rate). - Judgemental sampling	Costs: estimation of cost of staff involved in the supervision and audit strategy Benefits: budget value of the errors, detected by the auditors, which have actually been corrected. Effectiveness: Representative error rate below 2 %. Efficiency: total (average) annual cost of audits compared with benefits (ratio). Economy: Cost of ex-post audits of the underlying cost of asset valuation and evolution over time

RCS N° 3: Procurement

This RCS covers: DG DEFIS own procurement under direct management, which is mostly for studies and technical assistance:

Stage 1 – Decision to launch a procurement procedure (call for tender)**A – Planning**

Main control objectives: Effectiveness, efficiency and economy. Compliance (legality and regularity).

Main risks	Mitigating controls	Coverage frequency and depth	Cost-Effectiveness indicators (three E's)
- The procurement needs are not clearly defined or justified from an economic or operational point of view - Discontinuation of the services provided due to poor/late planning and organisation of the procurement process - Lack of expert knowledge and experience in the highly regulated field of procurement which may lead to the wrong choice of procedure/thresholds and the splitting of purchases - Conflict of interests	- Publication of intended procurements - Detailed financial procedures - In-house technical trainings on procurement management - Regular information on ethics, integrity and fraud awareness to all staff involved in the procurement process	- 100 % of forecast procurements are included in the DG DEFIS Monitoring Tool/work programme.	Costs: - estimation of FTEs involved and the related contract values (if external expertise is used) Quantified Benefits: - Amount of rejection of unjustified purchases Non Quantified Benefits: - Avoidance of litigation - DG DEFIS reputation intact Effectiveness: - n° of ECA observations and % error rate on choice of procurement procedure - n° of successful legal on errors in the procurement procedures

B - Needs assessment & definition

Main control objectives: Effectiveness, efficiency and economy. Compliance (legality and regularity).

Main risks	Mitigating controls	Coverage frequency and depth	Cost-Effectiveness indicators (three E's)
- Risk of not obtaining value for money due to lack of market analysis and/or poor definition of selection criteria - Risk of unequal treatment resulting in litigation, due to selection criteria favouring one contractor - Risk of not receiving the best offers due to the poor definition of the tender specifications (disproportion between contract value and selection/award criteria, or specifications too vague) - Risk of non-compliance with legality and regularity and criticism on choice of procedure due to limited competition and high proportion of negotiated procedures in the very technical, complex and oligopolistic space market	- Encourage use of open procedures, even in relatively closed markets - Technical specifications are prepared and validated by at least 2 staff members, and approved by the responsible operational HoU/ Director before call launch - Verification and validation of tender documents by a specialised team for Public Procurement and Grants Management in the Financial Resources and Internal Control unit before call launch	- 100 % of the specifications are verified. Depth may be determined by the amount and/or the impact on the objectives of the DG if it goes wrong - 100 % of the tenders above a financial threshold (e.g. > EUR 15 000) are reviewed. Depth risk-based, depending on sensitivity	Costs: - estimation of FTEs involved and the related contract values (if external expertise is used) Quantified Benefits: - Value of contracts for which the approval and supervisory control detected material error (negative opinion issued by the DG DEFIS legal team). Non quantified Benefits: - Limit the risk of litigation - Limit the risk of cancellation of a tender Effectiveness: - N° of negative Public Procurement and Grants Management opinions and n° of favourable opinions with reserves. - N° of 'open' procedures or procedures where only one or no offers were received

C – Evaluation & Award

Main control objectives: Effectiveness, efficiency and economy. Compliance (legality and regularity). Fraud prevention and detection.

Main risks	Mitigating controls	Coverage frequency and depth	Cost-Effectiveness indicators (three E's)
- The most economically advantageous offer is not selected due to a biased, inaccurate or 'unfair' evaluation process - Over-consumption of resources (human and financial) due to errors or mismanagement leading to award decisions being contested (resulting in Court and Ombudsman cases) - Damage to the DG's reputation if fraud or criminal behaviour is discovered (conflict of interest)	- All 'call for tender' evaluations involve the use of opinions of more than one qualified official. The evaluation process is more regulated and formalised as the contract value increases. - Risk based approach: higher risk contracts have more in-depth checks - Review of and opinion on evaluation and award documents and process by a specialised legal team before contract award	- Formal evaluation process: Opening and Evaluation committees for all tenders > EUR 140 000¹⁵ including signature of declarations of absence of conflict of interests by the committee members - Risk based approach: 1) second review of evaluation and award documents and process (open and restricted procedure) by the Deputy Director General and Director General for procurements > EUR 10 million 2) validation of negotiated procedures > EUR 140 000 by the Director-General before call launch - 100 % of the offers of the call for tenders are evaluated by more	Costs: - estimation of FTEs involved and the related contract values (if external expertise is used) Quantified Benefits: - Difference between the most onerous offer and the selected one - N° or value of contracts subject to complaints / irregularities - N° of procurements successfully challenged during standstill period Non quantified Benefits: - Compliance with FR - Best value for money Effectiveness: - n° of ECA observations and % error rate concerning evaluation & award stage - n° of negative Public Procurement and Grants Management opinions - n° of successful complaints or

¹⁵ Thresholds for procurement applicable for procurement procedures launched as of 1st January 2022. EUR 140 000 for procurement of supplies and services, EUR 5 350 000 for the procurement of works and concessions.

Main risks	Mitigating controls	Coverage frequency and depth	Cost-Effectiveness indicators (three E's)
		- than one qualified official. - 100 % of evaluations are checked. - Depth: required documents provided are consistent	Ombudsman or Court cases resulting from non-compliant procurement process Efficiency: - Time-To-Contract - Contract value/cost of FTEs involved in control of contracts

Stage 2 – Contract Management and Financial transactions

Main control objectives: Ensuring that the implementation of the contract is in compliance with the signed contract

Main risks	Mitigating controls	Coverage frequency and depth	Cost-Effectiveness indicators (three E's)
- Bad or non-execution by the contractor, leading to serious problems if contractual deliveries are critical and no short term alternatives are available (risk of over-dependency on certain contractors) - The products/services foreseen are not, totally or partially, provided in accordance with the technical description and requirements foreseen in the contract and/or the amounts paid exceed that due in accordance	- Checks on financial capacity and viability of contractors prior to awarding the contract - Close monitoring of contracts, with possible on-site verifications, particularly of high value contracts resulting from negotiated procedures - Checks on both operational and financial issues carried out at appropriate level using the most qualified staff. As defined in the in accordance with the financial circuits	- 100 % of the contracts are controlled, including only value-adding checks - In case of reimbursement costs, in-depth ex-ante verification - High risk operations identified by risk criteria - For high risk operations, reinforced monitoring of the respect of the timely achievement of the contract's milestones by the contractor	Costs: - estimation of FTEs involved Quantified Benefits: - Amount of irregularities, errors and overpayments prevented by the controls Non quantified Benefits: - DG reputation intact Effectiveness: - n° of ECA observations and % error rate relating to contract management /payment stage - n° of court cases resulting from contract execution problems - % budget execution rate – total amount

Main risks	Mitigating controls	Coverage frequency and depth	Cost-Effectiveness indicators (three E's)
- with the applicable contractual and regulatory provisions - Risk of bad execution due to undetected errors on uncorrected imprecisions in offers or tendering specifications - Business discontinues, because contractor fails to deliver - Plagiarism (studies, reports) - Fraud	- Possibility to run a plagiarism check of reports submitted by contractor - Management of sensitive functions		- committed/paid versus total budget envelope - % of contracts implemented - n° of open critical and/or very important audit recommendations Efficiency: - Time-To-Pay - Late interest payment and damages paid (by the Commission) - Coverage of 1st and 2nd level ex-ante controls Economy: - Average n° of contracts per procurement control FTE - cost of control per running contract - % cost over annual amount disbursed

Stage 3 – Supervisory measures

Main control objectives: Ensuring that any weakness in the procedures (tender and financial transactions) is detected and corrected

Main risks	Mitigating controls	Coverage frequency and depth	Cost-Effectiveness indicators (three E's)
- An error or non-compliance with regulatory and contractual provisions, including technical specifications, or a fraud is not prevented, detected or corrected	- Supervisory desk review of procurement and financial transactions - Ex-post publication of contracts awarded (and	- 100 % Depth: review any significant problem that occurred - legal team examines procurement procedures	Costs: - estimation of FTEs involved in the controls Non Quantified Benefits:

Main risks	Mitigating controls	Coverage frequency and depth	Cost-Effectiveness indicators (three E's)
by ex-ante control, prior to payment	- subsequent publication in the EU Financial Transparency System) - Regular review of exceptions or non-compliance events reported - Regular review of the procurement process (self-assessment by DG legal team - System and transaction audits by IAS, ECA) and subsequent monitoring of implementation of recommendations for improvement - indicators on procurement are regularly reported	- 100 % of the sample at least once a year to determine any errors or systemic problems or weaknesses in the procedures (procurement and financial transactions)	- Systematic weaknesses corrected - Deterrent effect Effectiveness: - Amounts associated with errors detected (related to fraud, irregularities and error) and in % over total checked. - N° system improvements made Efficiency: - Average time-to-contract Economy: - Proportion of overall cost of control over total expenditure (payments authorised) - Costs of the ex-post controls and supervisory measures with respect to the 'benefits'.

This RCS covers: DG DEFIS grants under direct management (action and operating grants)

Stage 1 – Programming, evaluation and selection of proposals

A - Preparation, adoption and publication of the Annual Work Programme (AWP) and Calls for proposals (Calls)

Main control objectives: Ensuring that the Commission receives and selects the proposals that contribute the most towards the achievement of the policy or programme objectives (effectiveness); Compliance (legality & regularity); Prevention of fraud (anti-fraud strategy)

Main risks	Mitigating controls	Coverage, frequency and depth	Cost-Effectiveness indicators (three E's)
- Work Programmes and subsequent calls do not adequately reflect the policy objectives, priorities are incoherent and/or the essential eligibility, selection and award criteria are not adequate to ensure the evaluation of the proposals - Work Programmes are inconsistent within the other family DGs and with the 7 year framework - Work Programmes overlap with other programmes (by other DGs, e.g. Structural Funds) and could lead to double-funding	- Hierarchical validation within the authorising department - Inter-service consultation, including all relevant DGs - Adoption by the Commission - Use corporate templates and corporate tools to prepare and publish the call documents Recommended: - Centralised checklist-based verifications - Explicit allocation of responsibility to individual officials (reflected in task assignment or function descriptions)	If risk materialises, all grants awarded during the year under this WP or call would be irregular. Possible impact: 100 % of budget involved and significant reputational consequences. Coverage: 100 % Depth: All Work Programmes are thoroughly reviewed at all levels, including for operational and legal aspects.	Costs: - Estimation of cost of staff involved in the preparation and validation of the Work Programmes and calls. Cost of contracted services, if any. Benefits: - Only qualitative benefits. A good Work Programme and well publicised calls should generate a large number of good quality projects, from which the most excellent can be chosen. There will therefore be real competition for funds. - The (average annual) total budgetary amount of the Work Programmes or calls with significant errors detected

Main risks	Mitigating controls	Coverage, frequency and depth	Cost-Effectiveness indicators (three E's)
- Calls are tailored to the advantage of certain candidates due to undue influences from interest groups - Calls are not adequately published and do not reach all target groups - Call documents are incomplete, contain contradicting information or are unclear	- Prepare guiding documents and organise infodays and other dissemination events		and corrected. Effectiveness: - % of n° of calls successfully concluded / number of calls planned in Management Plan/Work Programme - % budget execution rate grant commitments Economy: - average n° and value of running grants managed per control FTE - % cost of control for all stages over annual amount disbursed in grants - average cost of control per grant

B – Selecting and awarding: Evaluation, ranking and selection of proposals

Main control objectives: Ensuring that the most promising projects for meeting the policy objectives are among the proposals selected (effectiveness); Compliance (legality & regularity); Prevention of fraud (anti-fraud strategy)

Main risks	Mitigating controls	Coverage, frequency and depth	Cost-Effectiveness indicators (three E's)
- Evaluation, ranking and selection of proposals not carried out in accordance with the established procedures, policy objectives and priorities	- Selection and appointment of expert evaluators. - Outreach actions to achieve a larger pool of available	- 100 % screening of expert evaluators for technical expertise and independence (e.g. conflicts of interests, nationality bias, ex-employer bias, collusion)	Costs: - Estimation of cost of staff involved in the evaluation and selection of proposals - Cost of the appointment of experts and

Main risks	Mitigating controls	Coverage, frequency and depth	Cost-Effectiveness indicators (three E's)
- Difficulties to recruit adequate independent experts affecting the quality and timing of the evaluations - Eligibility, selection and award criteria too ambiguous or otherwise inadequate to ensure that grants are awarded to the actions which maximise the overall effectiveness of the EU programme - Unauthorised persons may have access to the electronic system for the management of the calls - Unequal treatment of applicants: inappropriate contacts and/or conflict of interests with certain applicants during the procedure - Monopoly of certain bodies insufficiently justified	- experts. - Admissibility and quality checks on the proposals (financial section). Assessment of the financial proposal in case of lump-sums. - Assessment of the financial capability of the Consortium/beneficiary. - Validation by the AO of ranked list of proposals. In addition, if applicable: opinion of advisory bodies; comitology; inter-service consultation, adoption by the Commission; publication.	- 100 % of admissible proposals are evaluated by independent experts - 100 % of contested decisions are analysed by redress committee	of the logistics of the evaluation Benefits: - 'quality allocation' assurance of the whole committed budget (as it will have been checked ex-ante and is considered reasonable in the interests of the programme) Qualitative benefits: - Expert evaluators from outside the Commission bring independence, state of the art knowledge in the field and a range of different opinions. This will have an impact on the whole project cycle : better planned, better executed projects Effectiveness: - % of proposals evaluated within the year/proposals received - % of n° of (successful) redress challenges / total n° of proposals received - Ratio of proposals received to proposals selected ("oversubscription" rate) - No successful litigation cases Efficiency: - Average Time-To-Publication of

Main risks	Mitigating controls	Coverage, frequency and depth	Cost-Effectiveness indicators (three E's)
			selection results Economy: - Average evaluation cost per proposal (external experts paid only) - % cost of control over annual amount disbursed in grants

Stage 2 - Contracting

Main control objectives: Ensuring that the most promising projects for meeting the policy objectives are among the proposals contracted; Ensuring that the actions and funds allocation is optimal (Sound Financial Management: best value for public money; effectiveness, economy, efficiency); Compliance (legality & regularity); Prevention of fraud (anti-fraud strategy)

Main risks	Mitigating controls	Coverage, frequency and depth	Cost-Effectiveness indicators (three E's)
- After evaluation, the description of the action in the grant agreement remains unclear or still includes tasks which do not contribute to the achievement of the programme objectives - Inconsistencies exist between the grant agreement and its annexes - Procedures do not comply with regulatory framework - The consortium proposes changes that put into question the result of the evaluation	- Systematic checks on operational and legal aspects performed before signature of the grant agreement - Project Officers implement evaluators' recommendations in discussion with selected applicants. Hierarchical validation of proposed adjustments. - Validation of beneficiaries (operational and financial viability, SME and Midcap status).	Coverage: - 100 % of the selected proposals and beneficiaries are scrutinised - 100 % of draft grant agreements Depth may be differentiated; determined after considering the type or nature of the beneficiary (e.g. SMEs, joint-ventures) and/or of the modalities (e.g. substantial subcontracting) and/or the total value of the grant. For EDF, specific guidelines on mitigating controls are foreseen in	Costs: - Estimation of cost of staff involved in the contracting process Efficiency: - Average Time-To-Grant Economy: - % cost of control for all stages over annual amount disbursed in grants

Main risks	Mitigating controls	Coverage, frequency and depth	Cost-Effectiveness indicators (three E's)
- Delays in the provision of the necessary input to finish the GAP, putting at risk the signature of the contract before year N+1 - The beneficiary: ▪ has overestimated the costs necessary to carry out the action ▪ has made false declarations ▪ lacks operational and/or financial capacity to carry out the action ▪ is awarded several grants for a single action (double funding by different DGs or other donors) ▪ falls into an exclusion situation	- Planning of (mid-term and final) evaluations. - Signature of the grant agreement by the AO. - In-depth financial verification and taking appropriate measures for high-risk beneficiaries - Preparation of a reserve list of projects	the approved GAP methodology [Ares(2023)4518400].	

Stage 3 - Monitoring the execution: Project management - operational, financial and reporting aspects

Main control objectives: ensuring that the operational results (deliverables) from the projects are of good value and meet the objectives and conditions (effectiveness & efficiency); ensuring that the related financial operations comply with regulatory and contractual provisions (legality & regularity); prevention of fraud (anti-fraud strategy); ensuring appropriate accounting of the operations (reliability of reporting, safeguarding of assets and information)

Main risks	Mitigating controls	Coverage, frequency and depth	Cost-Effectiveness indicators (three E's)
- The actions foreseen are not, totally or partially, carried out in accordance with the technical description and requirements foreseen in the grant agreement and/or the amounts paid exceed those due according to the applicable contractual and regulatory provisions. - Eligibility conditions of the beneficiary may change during the implementation (e.g. SME bought by a larger company or a company becoming controlled by a third state) - Reimbursement of ineligible costs by DG DEFIS (e.g. due to overinflated timesheets, subcontracting of core activities or without prior tendering procedure) - Several authorising officers implement the same programme	- Kick-off meetings and "launch events" involving the beneficiaries in order to avoid project management and reporting errors - Explain and clarify at front rules on eligibility criteria (most current cases) - Effective external communication about guidance to the beneficiaries - Operational and financial checks in accordance with the financial circuits. - Operation authorisation by the AO - For riskier operations more in-depth ex-ante controls. Scientific reviews if necessary. - Agreement with Member States on security framework principles and role of Project	- 100 % of the projects are controlled, including only value-adding checks - Riskier operations subject to more in-depth controls - The depth depends on risk criteria. However, as a deliberate policy to reduce administrative burden, and to ensure a good balance between trust and control, the level of control at this stage is reduced to a minimum. - High risk operations identified by risk criteria. Red flags: suspicions raised by staff, delayed interim deliverables, suspicion of plagiarism, unstable consortium, requesting many amendments, EDES or anti-fraud flagging, etc. - Audit certificates required for any beneficiary claiming significant	Costs: - estimation of cost of staff involved in the actual management of running projects Benefits: - part of budget value of the costs claimed by the beneficiary, but rejected by staff - Reductions in error rates identified by audit certificates - Budget value of penalties and liquidated damages. - Benefits due to operational review of projects and consequent corrective actions imposed on projects Effectiveness: - % and value of reductions made to EC contribution paid out through the ex-ante desk checks / total value of cost claims desk-checked - % of payments suspended - n° of cost claims desk-checked Efficiency:

Main risks	Mitigating controls	Coverage, frequency and depth	Cost-Effectiveness indicators (three E's)
- and do not treat the beneficiaries equally - Insufficient operational performance monitoring of beneficiaries by project officers - Limitations in the security framework do not allow project officers to access the necessary documents to confirm the correct implementation of the action and to provide the "certified correct"	- Manager - When needed: application of suspension/interruption of payments, penalties or liquidated damages, earmark projects for risk-based ex-post audit, refer grant/beneficiary to OLAF - Desk check (ex-ante) by the financial officers of the cost claims provided by the beneficiaries.	EU contribution.	- % and value of reductions made to EU contribution paid through ex-ante desk checks/total value of cost claims checked - Average n° & value of projects managed 'per' staff FTE - Average Time-To-Pay - Average payment suspension time (days) Economy: - % cost of ex-ante control (cost/total amount of grant payments) - Average project management cost (staff FTE * standard staff cost) per running project

Stage 4 – Ex-Post controls: supervision monitoring, reviews, audits – plus corrections

Main control objectives: Measuring the effectiveness of ex-ante controls; detect and correct any error with regard to the underlying cost remaining undetected after the implementation of ex-ante controls. Ensuring that the appropriate corrections are being made.

Main risks	Mitigating controls	Coverage, frequency and depth	Cost-Effectiveness indicators (three E's)
- The ex-ante controls fail to prevent, detect and correct errors in the implementation of the grants - Beneficiary refuses access to facilities/information on the basis of classification of the information	- Ex-post audits of costs reported by the beneficiaries - Auditors in possession of a personal security clearance	Coverage ex post audits: • Representative sample: sufficiently representative to draw valid management conclusions • Risk-based sample, determined in accordance with the selected risk criteria, aimed to maximise error correction (either higher amounts or expected error rate). Frequency: <u>Space</u>: risky based approach in case of red flags. Defence: a specific audit plan will be established after the risk analysis on the EDF first year's interim payments, which are planned in 2023.	Costs: estimation of cost of staff and/or external auditors involved in the supervision and audit strategy Benefits: budget value of the errors, detected by the auditors, which have actually been corrected. Effectiveness: Representative error rate below 2 %. Efficiency: total (average) annual cost of audits compared with benefits (ratio). Economy: Cost of ex-post audits of the underlying cost of the grant

ANNEX 7: Specific annexes related to "financial management"

A. Effectiveness of control results

ENTRUSTED ENTITIES

International Organisations

European Space Agency (ESA)

In 2024 the second largest part of DG DEFIS expenditure was delegated to the European Space Agency (ESA) for the implementation of GNSS (Galileo and EGNOS), Copernicus, Gvsatcom and SSA components of the Space Programme, as well as the Horizon Europe programme, which is totalling EUR 809.23 million (22.44 % of the total DG DEFIS 2024 payments).

The assurance on the effectiveness of the internal control systems with regard to the legality and regularity of the costs reported is built on:

- ESA's control results and/or assurance:
 - Opinion of the external auditor – unqualified audit opinion
 - Statement of Internal Control of ESA Director-General - clean
 - Reporting quality control at ESA - considered sufficiently reliable to draw conclusions on assurance.
- Authorising Officers by Delegation's own control results on the ESA's operations:
 - Results of the audits of the 2023 Annual Implementation Reports and the implementation of corrections – a minor adjustment of EUR 312 837 on ESA Galileo (see first table below), representing only 0.1% was revealed.

DG DEFIS ex-post audit team audited all the Annual Implementation Reports (AIRs) and corresponding Annual Financial Reports (AFRs) submitted by ESA in 2024.

The results of the previous financial audits have been implemented. These corrections were made at the time of the annual clearing of pre-financing payments to ESA. The overall residual error rate is below the 2% materiality threshold.

During the monitoring, errors detected ex-ante in the AIRs and the AFRs, have no impact on the legality and regularity of the amounts paid to ESA, because the amounts paid depend both on costs declared and on cash-flows forecasts. There remains the possibility to rectify them via future clearings of the pre-financings until the end of the delegated programmes.

In the framework of the regular working arrangement and top-level meetings between DG DEFIS and ESA, the Directorate-General closely monitors ESA's progress with the implementation of the programmes and the related reporting. Ensuring business continuity

is a priority and in case of service incidents, intense efforts are deployed and measures put in place to prevent such critical situations in the future.

The Relevant Control System Template (RCS) for indirect management in Annex 6 demonstrates how the control system put in place in the Directorate-General, addresses the risks related to this type of expenditure.

Result indicators: Indicators of annual error – ESA/GNSS GALILEO

GALILEO FOC & FOC-DC					
Annual Implementation Report of Financial Year	Reported by ESA	Commission Audit report	Amount of the sample	Adjustment	Detected error rate
2021	523 241 364.57	523 241 364.57	498 880 456.50	0	0.00%
2022	698 917 807.27	698 917 807.27	317 202 052.00	0	0.00%
2023	713 042 538.97	713 355 375.97	313 491 051.00	312 837.00	0.10%

Result indicators: Indicators of annual error – ESA H2020-IOD/IOV

<u>H 2020 -HEurope-IOD/IOV</u>					
Annual Implementation Report of Financial Year	Reported by ESA	Commission Audit report	Amount of the sample	Adjustment	Detected error rate
2020	No audit took place				
2021	17 350 540	17 350 540		0	0%
2022	No audit took place				
2023	48 907 770.25	48 907 770.25	20 202 513.00	0	0%

Result indicators: Indicators of error – ESA/COPERNICUS

ESA COPERNICUS					
<i>Annual Implementation Report of Financial Year</i>	Reported by ESA (EC accepted costs)	Commission Audit report (eligible costs)	Amount of the sample	Adjustment	Detected error rate
2021	361 092 666	361 092 666	207 345 914	0	0.00%
2022	347 890 397	347 212 364	153 871 137	- 678 033.39	-0.44%
2023	440 326 812	440 326 812	188 938 616	0	0.00%

The audits of the 2023 Annual Implementation Reports revealed only a very small error. Regular Audits and corresponding corrections ensure that, on a multi-annual basis, the total amount paid under the Delegation/Contribution Agreements will be compliant with the eligibility rules and will not exceed the limits defined in those Agreements.

Other international organisations, e.g. MERCATOR, ECMWF, EUMETSAT, SATCEN, OCCAR and EDA

The elements that provide assurance on the effectiveness of the internal control system regarding the legality and regularity are mostly the same as explained under ESA.

These entrusted entities are usually audited every two years, according to the audit guidelines established at DG DEFIS unless specific circumstances, justifying a change, are identified. (e.g. ECMWF and SatCen were not audited in 2024). Among the entrusted entities supporting Copernicus, besides ESA, only EUMETSAT and MERCATOR were audited in 2024.

EUMETSAT					
Annual Implementation Report of Financial Year	Reported by Eumetsat	Commission Audit report	Amount of the sample	Adjustment	Detected error rate
2020	Not audited				
2021	64 801 980	64 801 980		0	0.00%
2022					
2023	81 512 269.41	81 511 955.34	32 871 083.03	-314.07	0.00%

MERCATOR					
Annual Implementation Report of Financial Year	Reported by MERCATOR	Commission Audit report	Amount of the sample	Adjustment	Detected error rate
2021	Not audited				
2022	23 483 809.63	23 457 549.21	20 268 649.41	-26 260.42	-0.13%
2023	29 510 915.97	29 502 408.57	13 884 000.85	-8 507.40	-0.06%

In support of defence industry, EDA and OCCAR were audited in 2024.

EDA PADR					
Annual Implementation Report of Financial Year	Reported by EDA	Commission Audit report	Amount of the sample	Adjustment	Detected error rate
2023	63 298 523.12	63 298 523.12	63 298 523.12	0	0.00%

OCCAR MALE RPAS					
Audited period	Reported by OCCAR	Commission Audit report	Amount of the sample	Adjustment	Detected error rate
2020-2024	100 000 000	100 000 000	100 000 000	0	0.00 %

EU Union Bodies

Decentralised Agencies, e.g. EUSPA, EEA, FRONTEX and EMSA

Besides the above-mentioned Delegation/Contribution Agreements, similar agreements have been concluded with the **European Agency for the Space Programme (EUSPA)** in the area of GNSS exploitation activities. In 2024, the EU Agency for the Space Programme (EUSPA) constituted the largest part of DG DEFIS expenditure, totalling EUR 1.340 billion (37.16 % of the total DG DEFIS 2024 payments). Although DG DEFIS remains ultimately accountable for the legality and regularity of these expenditures, it is the responsibility of EUSPA to set up the appropriate controls to provide the necessary assurance to its parent Directorate-General. The Commission exercises the supervisory tasks provided for in the existing agreements through ex-ante controls over the regular implementation reports and procurement documentation submitted by the Agency.

EUSPA is audited annually by the European Court of Auditors (ECA) and the submitted AIRs are also audited by external independent auditors. Also, DG DEFIS ex-post control team audited all the annual AIRs submitted by ESA/EUSPA. The overall detected error rate for Galileo and EGNOS for 2023 following the DG DEFIS audits (Working Arrangement (WA) with ESA included) is 0.0% (0.0% for GALILEO and 0.02% for EGNOS). Given that the grants provided by EUSPA under the H2020 Delegation Agreement are audited by the Common Audit Service (CAS) of the Research family, DG DEFIS used the provided entity's representative detected error rate of 3.55% for that activity.

Result indicators: Indicators of annual error – GALILEO and EGNOS programmes

EUSPA GALILEO					
Annual Implementation Report of Financial Year	Reported by GSA	Commission Audit report	Amount of the sample	Adjustment	Detected error rate
2021	923 972 662	924 058 371	125 831 514	85 709	0.01%
2022	888 387 899	886 966 057	187 019 099	-1 421 842	-0.76%
2023	928 251 057	928 252 942	173 333 286	1 886	0.00%

EUSPA EGNOS					
<i>Annual Implementation Report of Financial Year</i>	Reported by GSA	Commission Audit report	Amount of the sample	Adjustment	Detected error rate
2021	139 059 958	139 374 969	74 784 197	315 011	0.30%
2022	198 689 967	198 177 401	59 917 981	-512 566	-0.86%
2023	221 479 778	221 467 176	61 754 641	-12 601.31	-0.02%

According to the DG DEFIS audit guidelines and the 2024 Audit Work Programme, the entities other than ESA and EUSPA are audited usually every two years.

FRONTEX

An audit was performed on the 2023 cost of Frontex in line with the Annual Audit Work Programme. The Audit did not reveal any errors. Considering that DG DEFIS is not the parent DG of FRONTEX, its supervision activities are focused on the implementation of the tasks delegated to the Agency under the signed Delegation Agreement and the Contribution Agreement.

FRONTEX					
<i>Annual Implementation Report of Financial Year</i>	Reported by FRONTEX	Commission Audit report	Amount of the sample	Adjustment	Detected error rate
2020	not audited				
2021	8 107 753	8 082 753		-25 000	0.31%
2022					
2023	9 282 885	9 282 885		0	0.00%

EMSA

In 2024 no audit was performed in line with the bi-annual control foreseen for EMSA.

Although the detected error rates during the ex-post control in 2024 is very low, all the non-audited agencies were given a “theoretical” error rate of 0.5%, following the conservative approach mentioned above. It is to be mentioned that according to DG DEFIS audit guidelines, these Agencies are audited every 2nd year, unless a specific risk is raised. Ex-ante checks and regular monitoring is performed on these entities over the year to ensure legality and regularity of the transactions.

Based on the declarations of assurance provided by the Executive Directors of these decentralised agencies and the results of the performed ex-post audits, DG DEFIS considers the implementation of the delegated funds to be legal and regular.

Executive Agencies

In its capacity of parent DG, DG DEFIS supervises the control systems of HADEA in the context of their direct delegation as Authorising Officer by Delegation (AOD). HADEA performed its ex-post audits in the context of a common audit strategy. HADEA produces its own AAR. The preparation of the Annual Activity Report of HADEA was supervised by the Steering Committee of the Agency.

Overall, DG DEFIS considers that its supervision of HADEA is effective and appropriate.

PROCUREMENT DIRECTLY MANAGED BY DG DEFIS

Procurement under direct management represents 8.92% of the total 2024 DG DEFIS expenditure. The payments made in 2024 on own procurement amount to EUR 321 785 542.

The Relevant Control System template (RCS) n°3 for procurement in Annex 6 demonstrates how the control system in place in the Directorate-General addresses the risks related to this type of expenditure.

In 2024, 9 contracts following an open procedure were awarded directly by DG DEFIS, representing a total contract value of EUR 62 091 104 million. The reader is referred to Annex 3 table 12. These contracts do not include, however, contracts signed by the ESA in the name and on behalf of the Commission under ESA Delegation Agreements.

End of 2024, following a competitive dialogue, a concession contract was signed for the Infrastructure for Resilience, Interconnectivity and Security by Satellite (IRIS²). The corresponded budget committed for 2023-2024 was EUR 399.2 million.

The procurement procedures applied in DG DEFIS involve several specific controls, which are fully in line with the applicable regulatory requirements. The benefit of these specific controls provides assurance on legality and regularity, transparency, equal treatment and proportionality of the public procurement and mitigates the risk of reputational damage. Given the low error rate, there are no indication that a higher level of checks and controls would produce any supplementary benefits.

GRANTS DIRECTLY MANAGED BY DG DEFIS

DG DEFIS has set up internal control processes aimed at ensuring the adequate management of the risks relating to the legality and regularity of the underlying transactions, considering the specificities of the programmes, as well as the nature of the payments concerned.

A major part of the expenditure implemented in 2024 in direct management relates to the European Defence Fund (EDF). In 2024, as result of the 2023 EDF calls for proposals, 40 grant agreements were signed for a total value of EUR 814.6 million. The pre-financing paid for these grants amounts to EUR 345.0 million. In addition, in support of ASAP, 31 grant agreements were signed for a total value of EUR 512.3 million. The pre-financing paid for these grants amounts to EUR 171.7 million.

No ex-post audits have yet been carried out over grants supporting defence industry, as the first EDIDP projects started at the end of 2020 and have an average duration of 3 years.

GRANTS MANAGED BY EUSPA AND AUDITED BY THE COMMON AUDIT SERVICE (CAS)

1. ex-post audits of (CAS)

a) Audit coverage

By the end of 2024, the Common Audit Service (CAS) in DG Research and Innovation audited 5 247 H2020 participations ⁽⁴⁹⁾ **of the Research and Innovation Family**, covering 63.12% of total H2020 expenditure to date.

The percentage of H2020 expenditure covered by the audits (63.12%) refers to the value of the participations of the audited beneficiaries. It includes both fully audited participations (3.86%), also referred to as the 'direct' coverage, and the non-audited participations, also referred to as the 'indirect' coverage, which after the full treatment of audit results, are clean from systemic errors (59.26%).

DG Research and Innovation: In April 2021 the management of a large number of actions, formerly under the responsibility of DG Research and Innovation, were delegated to the Executive Agencies of the Research and Innovation Family. As a result, the number of audited actions directly managed by DG Research and Innovation has decreased significantly, which does not allow a complete analysis of the coverage.

The coverage for the HORIZON programme cannot be calculated since there are no audits completed by the end of 2024. This is because all of them were initiated in the second half of 2024.

b) Audit target for 2024

The CAS managed to finalise audits on 540 participations corresponding to 101.9% of the 2024 target for H2020. As mentioned above, no audits have been completed for the HORIZON programme.

2. Progress made on action plans to both reduce the error rate on Horizon 2020 and prevent a high error rate in Horizon Europe

Following an IAS Limited review on the implementation of the Action Plans for the reduction of the Horizon 2020 error rate and for simplifications to reduce the Horizon Europe error rate, and based on the original action plans agreed with central services, DG R&I prepared in 2022

⁽⁴⁹⁾ The Horizon 2020 audit campaign started in 2016. At this stage, six Common Representative Samples with a total of 944 expected results have been selected. By the end of 2024, cost claims amounting to EUR 56.7 billion have been submitted by the beneficiaries to the services. In addition to the Common Representative Samples, Common Risk Samples and Additional Samples have also been selected. The audits of 5 247 participations were finalised by 31/12/2024 (of which 540 in 2024 representing 101.9% of the target 2024).

a reprioritised Action Plan to both reduce the error rate on Horizon 2020 and prevent a high error rate in Horizon Europe.

The highest priority has been set on communication, both external and internal. Dedicated webinars and trainings addressed to beneficiaries have been organized all along the year for Horizon Europe. Besides, In the context of the Client centricity project (CCP), an error-rate reduction campaign has been launched and the most error-prone beneficiaries approaching their reporting deadlines received personalised notifications, with tips on how to avoid the most common errors. The Horizon Europe Learning Framework was Implemented in early 2024 and a series of internal trainings were enforced in EU Learn. The aim of the learning framework is to empower users to make optimal use of IT tools and contribute to improving and streamlining controls.

Regarding the increased use of simplified cost options, the Commission has implemented the European Court of Auditors' recommendations on lump sum grants published in its 2022 annual report, in line with the expected target dates. In particular, the Commission has put in place an ex-post control strategy for lump sum grants, developing a methodology for ex-post technical reviews that goes beyond the previous project monitoring and checks the accuracy of projects against evidence in the technical supporting documents.

The Commission has also made further updates to the expert briefing, internal training, and internal guidance for call coordinators and project officers regarding terminology, acceptance of work packages, and documenting the budget assessment, as well as updating the guidance on how to describe activities in work packages in the Horizon standard proposal templates. All relevant support and guidance on lump sums is now available online in one place for internal and external users, respectively. This includes all internal and external events of the information campaign. Tools and guidance are continuously improved following the feedback received, for example the detailed budget table and FAQs.

In line with the action plan, DG R&I is proceeding with the roll-out of lump sums in Horizon Europe, with lump sums accounting for up to 27% of the total 2024 call budget. For 2025, we expect a further increase up to 40%, pending approval of the draft 'main' work programme 2025. The goal set by the HE Steering Board for lump sums is to reach at least 50% of the call budget by 2027, and the commitment to lump sums has been reconfirmed by Commissioner Zaharieva.

The Commission also published a new assessment of lump sum funding in September 2024, which covered the entire lifecycle of lump sum grants, including final payments. Its results will feed into the Horizon Europe mid-term evaluation, complemented by further data and analysis.

As an additional simplified cost option, the personnel unit cost scheme was launched on 1 May 2024. Despite a multi-channel communication campaign (including two dedicated webinars with over 15.000 views combined), the uptake of the new cost method remained limited in 2024. Therefore, the CIC is cooperating closely with Commission central services to increase the attractiveness of the measure. A large survey among nearly 14.000 beneficiaries was launched to collect the necessary evidence to design and justify these changes.

Finally, DG R&I is now part of a broader corporate initiative called Corporate Arachne, led by DG BUDG. This project aims to create a unified IT system for data analysis and risk assessment, which will integrate data from various internal systems and sources, including external databases like ORBIS and WorldCompliance. Corporate Arachne will utilize advanced data analytics and Artificial intelligence/Machine Learning to develop predictive algorithms for risk forecasting, such as identifying the likelihood of a company going bankrupt within 18 months or committing double financing.

As a participant in the Corporate Arachne working group, DG R&I is actively contributing to the technical development of the system, ensuring the successful integration of artificial intelligence. Starting in 2027, the use of Corporate Arachne will be mandatory for all European Commission services. R&I users and data will be onboarded in Phase 4 of the project, scheduled to begin in mid-2026. Further details on this integration will be discussed and finalized as the project timeline approaches.

B. Reference for the assessment, reporting requirements from the Financial Regulation, and cost of control

Reports and documentation considered for the assessment of the DG's functioning in view of the AOD's assurance:

Every year, the Acting Director in charge of Risk Management and Internal Control reports on the state of internal control and provides her opinion to the Director-General. The Director-General informs the Commissioner of any potentially significant issues related to financial management, internal control, audit and OLAF investigations if appropriate. For 2024, DG DEFIS management considered that all the key controls were in place to mitigate the risks and functioned as intended in practice.

The effectiveness of the internal control is assessed in accordance with the applicable Commission guidance and requirements and against the identified Internal Control Monitoring Criteria (ICMC). This assessment relies on several monitoring measures, including the reporting of the exceptions and non-compliance events, the status of court cases and Ombudsman cases, audit findings from ECA and IAS, and DG DEFIS periodical risk assessment.

There is a system in place to ensure the reporting of overriding controls or deviations from established processes and procedures, approved by the AOSD at appropriate level and registered in a central register. In 2024, no major recurring deviations to existing rules/procedures were reported that would imply changes in the internal control system.

A risk assessment is conducted twice a year, with involvement of the Directors and middle management. Existing risks are updated, and new risks identified, by considering the outcome of possible specific fraud risk exercises. The risks are then reviewed, validated and recorded in the Risk Register, which is also signed by the Director-General.

DG DEFIS' internal control assessment relies on several monitoring measures and sources of information to obtain a complete data set, covering all aspects of the DG's operations and

including deficiencies detected (e.g. results of payment desk reviews, audit findings, exception and non-compliance reports). In 2024, DG DEFIS' auditors performed seven ex-post financial audits and two compliance audits (on financial reporting), covering Space and Defence Industry activities implemented through indirect management.

Financial Regulation: Additional reporting requirements resulting from the 2018 and 2024 revisions.

In line with the requirements of the Financial Regulation, DG DEFIS reports for the year 2024:

- zero cases of financing not linked to costs (Financial Regulation (FR) art 125.3) under the instrument for the reinforcement of the European defence industry through common procurement (EDIRPA) regulation.
- 31 grants derogated from the principle of non-retroactivity for grants (FR art 196) in the Act in Support of Ammunition Production (ASAP).
- 4 cases of 'confirmation of instructions' (FR art 92.3) are listed in the DG DEFIS register of exceptions (1 event) and non-compliance events (3 events).
- 2 Financial Framework Partnership Agreements >4 years: one with EUSPA & ESA and one with OCCAR (FR art 131.4).
- 61 additional EDF grant agreements with flat rates >7% for indirect costs decided by Commission Decisions (FR art 184.6) as EDF finances indirect costs at a flat rate of 25% and possibly higher than 25% if indirect costs are determined as actual indirect costs. This is included in the financing decision (for PADR) and respective regulations for the other programmes.
- no cases of in-kind donation made to the Union, for the purposes of humanitarian aid, emergency support, civil protection or crisis management aid (FR art 25.3).

Table Y on the estimated “cost of controls” at Commission level

Overview of department 's estimated cost of controls at Commission (EC) level:

DEFIS	Ex ante controls***			Ex post controls			Total	
	(a)	(b)	(c)	(d)	(e)	(f)	(g)	(h)
Relevant Control System (RCS) / Other as defined in Annex 6 of the AAR*	EC total costs	related payments Made	Ratio (%)** (a)/(b)	EC total costs	total value verified and/or audited	Ratio (%) (d)/(e)	EC total estimated cost of controls (a)+(d)	Ratio (%)** (g)/(b)
RCS 1 - Heading 1: Budget entrusted to other entities	3.891.435,00 €	2.378.695.161,75 €	0,16%	229.330,00 €	813.693.588,44 €	0,03%	4.120.765,00 €	0,17%
RCS 3 - Heading 1: Procurement / Administrative expenses	2.099.800,00 €	207.211.160,50 €	1,01%	- €	- €	0,00%	2.099.800,00 €	1,01%
RCS 4 - Heading 1: Grants	302.130,00 €	17.487.848,67 €	1,73%	- €	- €	0,00%	302.130,00 €	1,73%
RCS 1 - Heading 5: Budget entrusted to other entities	383.030,00 €	186.833.804,66 €	0,21%	- €	161.413.545,12 €	0,00%	383.030,00 €	0,21%
RCS 3 - Heading 5: Procurement / Administrative expenses / Experts	286.880,00 €	114.891.802,61 €	0,25%	- €	- €	0,00%	286.880,00 €	0,25%
RCS 4 - Heading 5: Grants	9.243.493,00 €	692.091.695,86 €	1,34%	- €	- €	0,00%	9.243.493,00 €	1,34%
Other Headings Direct Management	- €	1.419.147,64 €	0,00%	- €	- €	0,00%	- €	0,00%
Other Headings Indirect Management	- €	3.250.000,00 €	0,00%	- €	- €	0,00%	- €	0,00%
Administrative arrangements	- €	3.822.000,00 €	0,00%	- €	- €	0,00%	- €	0,00%
	- €	- €	0,00%	- €	- €	0,00%	- €	0,00%
	- €	- €	0,00%	- €	- €	0,00%	- €	0,00%
	- €	- €	0,00%	- €	- €	0,00%	- €	0,00%
	- €	- €	0,00%	- €	- €	0,00%	- €	0,00%
	- €	- €	0,00%	- €	- €	0,00%	- €	0,00%
	- €	- €	0,00%	- €	- €	0,00%	- €	0,00%
OVERALL total estimated cost of control at EC level for expenditure	16.206.768,00 €	3.605.702.621,69 €	0,45%	229.330,00 €	975.107.133,56 €	0,02%	16.436.098,00 €	0,46%

Details of the estimated cost of controls related to shared/pooled control activities carried out by REA and hosted by DG RTD (Common Implementation Centre including Common Audit Service) for the Research and Innovation family are reported in the Annual Activity Reports of REA and RTD.

The cost of control for the non-expenditure items is included in the cost of control for RCS1 -Heading1: Budget entrusted to other entities (indirect management) and cannot be provided separately.

The costs of control at entrusted entity level, which is performed by their staff, is included in the remuneration paid to the entity and cannot be provided separately.

ANNEX 8: Reporting on the internal and external audits and assessing the effectiveness of Internal control systems

Since its start, DG DEFIS is subject to audits both from the Internal Audit Service (IAS) and from the European Court of Auditors (ECA), covering various operational, financial, and organisational aspects of its defence industry and space programmes.

The space activities were already regularly audited before the creation of DG DEFIS. In the last seven years (2018-2024), the IAS conducted ten audits:

- Audit on the supervision of project management and payment for Galileo (DG GROW, 2018).
- Audit on intellectual property rights supporting activities (DG GROW, 2018).
- Audit on the supervision of the implementation of the Copernicus Programme - Phase 2: management of the cooperation and coordination (DG GROW, 2018).
- Audit on the supervision of the implementation of the 2014-2020 programme for the European Geostationary Navigation Overlay Service (EGNOS) (2020).
- Audit on payments and accounting for tangible assets under the Galileo and Copernicus 2014-2020 programmes (2020).
- Limited review on the error rate calculation (2021).
- Audit on the preparedness for the management of the European Defence Fund (2022).
- Audit on the preparedness of DG DEFIS's management and control systems for the 2021-2027 Space programme implementation (2023).
- Audit on project management and payment process of the European Defence Fund (started in 2024, ongoing).
- Audit on the early implementation of grants in the short-term defence instruments, ASAP and EDIRPA (started in 2024, ongoing).

Based on the work done, the IAS concluded that the internal control systems in place for the audited processes were effective, except for two observations giving rise to “very important recommendations”. The first was related to the validation of the SME (or Midcap) status of beneficiaries, in the context of the European Defence Fund calls. The corrective measures have been submitted to the Internal Auditor in 2023 (as planned) that already recognised the recommendation as closed. The second recommendation, deriving from the last audit completed, is linked to the delayed signature of some security management plans established by the financial framework partnership agreement with ESA and EUSPA. Despite the initial delays, all the involved units acted proactively to conclude as fast as possible the agreed actions, in particular the approval of the DG DEFIS (individual) security management plan, which was finally signed in October 2024. At the end of 2024, all the recommendations received by IAS are therefore implemented and either already closed by the internal auditor or under its final review.

The European Court of Auditor, in addition to its ordinary annual audits on accounts, carried out three performance audits on DG DEFIS, one of which has reached its final stage in 2024 (special report published in February 2025). These audits concerned the following subjects:

- Special Report 07/2021: [EU space programme Galileo and Copernicus: services launched, but the uptake needs a further boost.](#)
- Special Report 10/2023: [The Preparatory action on defence research: Some lessons learned, but value as a testbed for increasing EU defence spending reduced due to time constraints and limited results.](#)
- Special Report 4/2025: [EU military mobility, full speed not reached due to design weaknesses and obstacles en route.](#)

DG DEFIS Management accepted all the issued recommendations. Their implementation is ongoing, with first milestones already achieved. One of the recommendations included in the Special Report 07/2021, policy-related report concerning the development of a comprehensive strategy for supporting the uptake of EU space services, was considered “very important”. On this subject, the European Court of Auditors started in 2024 a follow-up to assess the status of implementation of all the accepted recommendations. DG DEFIS was requested to fill in a questionnaire and to provide explanations on additional questions raised by the auditors. Although some of the actions are still in progress, being also affected by changes in the political agenda of the Commission, the majority of the actions have been implemented within the agreed targets.

ANNEX 9: Specific annexes related to "Control results" and "Assurance: Reservations"

A. Annex related to "Control results" – Table X: Estimated risk at payment and at closure

Table X : Estimated risk at payment and at closure

DG DEFIS	Payments made (2024;MEUR)	minus new prefinancing [plus retentions made] (in 2024;MEUR)	plus cleared prefinancing [minus retentions released and deductions of expenditure made by MS] (in 2024;MEUR)	Relevant expenditure (for 2024;MEUR)	Detected error rate or equivalent estimates	Estimated risk at payment (2024;MEUR)	Adjusted Average Recoveries and Corrections (adjusted ARC, %)	Estimated future corrections [and deductions] (for 2024;MEUR)	Estimated risk at Closure (2024;MEUR)
-1	-2	-3	-4	-5	-6	-7	-8	-9	-10
Heading 1 - Budget entrusted to other entities	2 324,39	-2 324,39	2 022,91	2 022,91	0,50% - 0,50%	10,11 - 10,11	0,00% - 0,00%	0,04 - 0,04	10,07 - 10,07
Heading 1 - Budget entrusted to other entities - Horizon EUSPA	54,30	- 54,30	33,30	33,30	3,55% - 3,55%	1,18 - 1,18	0,00% - 0,00%	0,00 - 0,00	1,18 - 1,18
Heading 5 - Budget entrusted to other entities	186,83	- 186,83	77,53	77,53	0,50% - 0,50%	0,39 - 0,39	0,00% - 0,00%	0,00 - 0,00	0,39 - 0,39
Heading 1 - Procurement / Experts	207,21	- 193,35	2,69	16,55	0,50% - 0,50%	0,08 - 0,08	0,00% - 0,00%	0,00 - 0,00	0,08 - 0,08
Heading 5 - Procurement / Experts	114,89	- 110,91	0,22	4,20	0,50% - 0,50%	0,02 - 0,02	0,00% - 0,00%	0,00 - 0,00	0,02 - 0,02
Heading 1 - Grants	17,49	0,00	12,47	29,96	0,50% - 0,50%	0,15 - 0,15	0,00% - 0,00%	0,00 - 0,00	0,15 - 0,15
Heading 5 - Grants	692,09	- 548,26	93,11	236,94	0,50% - 0,50%	1,18 - 1,18	0,00% - 0,00%	0,01 - 0,01	1,18 - 1,18
Heading 1 - Administrative arrangement JRC	3,82	0,00	0,00	3,82	0,50% - 0,50%	0,02 - 0,02	0,00% - 0,00%	0,00 - 0,00	0,02 - 0,02
Other Headings - Direct management	1,42	0,00	0,00	1,42	0,50% - 0,50%	0,01 - 0,01	0,00% - 0,00%	0,00 - 0,00	0,01 - 0,01
Other Headings - Budget entrusted to other entities	3,25	- 3,25	0,00	0,00	0,50% - 0,50%	0,00 - 0,00	0,00% - 0,00%	0,00 - 0,00	0,00 - 0,00
DG total	3 605,70	-3 421,31	2 242,23	2 426,63		13,15 - 13,15	0,00% - 0,00%	0,05 - 0,05	13,10 - 13,10
					Overall risk at payment in %	0,54% - 0,54% (7) / (5)		Overall risk at closure in %	0,54% - 0,54% (10) / (5)

Notes to the table X

(1) Relevant Control Systems differentiated per relevant portfolio segments and at a level which is lower than the total.

(2) Payments made or equivalent, e.g. expenditure registered in the Commission's accounting system, accepted expenditure or cleared pre-financing. In any case, this means after the preventive (ex-ante) control measures have already been implemented earlier in the cycle.

In all cases of Co-Delegations (Internal Rules Article 3), "payments made" are reported by the Delegated departments. For Cross-Sub Delegations (Internal Rules Article 12), the reporting remains with the Delegating departments.

(3) New pre-financing actually paid by out by the department itself during the financial year (i.e. excluding any pre-financing received as a transfer from another department). as per note 2.5.1 to the Commission annual accounts thus excluding "Other advances to Member States" which are covered on a purely payment-made basis (note 2.5.2). Pre-financing paid/cleared" are always covered by the Delegated departments, even for Cross-Sub Delegations.

Retentions: in Cohesion, the 10% retention applied during the year.

(4) Pre-financing actually cleared during the financial year (i.e. their 'delta' in the Financial Year 'actuals', not their 'cut-off' based estimated 'consumption'). Retentions: in Cohesion, the retentions released during the year by the Commission.

(5) For the purpose of equivalence with the ECA's scope of the EC funds with potential exposure to legality & regularity errors (see the ECA's Annual Report methodological annex 1.1), our concept of "relevant expenditure" includes the payments made, subtracts the new pre-financing paid out [& adds the retentions made], and adds the pre-financing actually cleared [& subtracts the retentions released; and any deductions of *expenditure made by MS*] during the FY. This is a separate and 'hybrid' concept, intentionally combining elements from the budgetary accounting and from the general ledger accounting.

(6) Since the error rates for all the entrusted entities, as shown in Annex 7, are close to "zero", DG DEFIS took the conservative approach and mentioned the 0.5%. This in line with the instructions below. .

For low-risk types of expenditure, where there are indications that the equivalent error rate might be close to 'zero' (e.g. *administrative expenditure, operating contributions to agencies*), the rate which should be used is 0.5% as a conservative estimate, unless the department has a more precise estimate based on evidence.

Similarly the subsidies given by partner DGs to decentralised agencies as part of their establishment and core tasks are considered error-free types of expenditure and the rate which should be used is 0%.

(8) The adjusted average recovery and corrections percentage is mostly based on the 7 years historic Average of Recoveries and financial Corrections (ARC), which is the best available indication of the corrective measures each department applied over the past years as a result of ex post controls. The AOD has adjusted this historic average to take into account any ex-ante elements, one-off events, (partially) cancelled or waived Recovery Orders, and other factors from the past years that would no longer be relevant for the current programmes (e.g. higher ex-post corrections of previously higher errors in earlier generations of grant programmes, current programmes with entirely ex-ante control systems) or that corresponded to exceptional situations in order to come to the best and most conservative estimate of the ex-post future corrections to be applied to the reporting year's relevant expenditure for the current programmes.

(9) For some programmes with no set *closure* point (e.g. EAGF) and for some multiannual programmes for which corrections are still possible afterwards (e.g. EAFRD and ESIF), all corrections that remain possible are considered for this estimate.

B. Reservations

Not applicable.

ANNEX 10: Reporting - Human resources, digital transformation and information management and sound environmental management

Human resources management

Objective: DG DEFIS employs a competent and engaged workforce and contributes to gender equality at all levels of management to effectively deliver on the Commission's priorities and core business

Indicator 1: Number and percentage of first female appointments to middle management positions

Source of data: Commission Decision SEC(2020)146 of 1 April 2020 and SEC(2023)200 and SYSPER

Baseline (2020)	Target (2022) + (2024)	Latest known results (2024)
Female representation in management: 56%, 5 out of 9 on 1 February 2020	No 2023-2024 target	0 female first nomination in the middle management in 2024 (50% female Heads of Unit)

Indicator 2: DG DEFIS Staff engagement index

Source of data: Commission staff survey

Baseline (2020)	Target (2024)	Latest known results (2024)
60% ⁵⁰	70%	65%

Main outputs in 2024:

Output	Indicator	Target	Latest known results
Reaching quantitative DG targets for female appointments to middle management functions.	Female appointment, including first appointment to middle management positions	50 % of middle management positions	5 out of 10 appointed heads of unit are female, which results in approximatively 50%.
Promote virtual and e-learning opportunities for colleagues (i.e. webinars, e-learning modules)	Number of virtual and e-learning training sessions followed by DG DEFIS staff	10 % of training sessions followed by virtual means	Virtual trainings have been promoted, also through the new DEFIS intranet website. There is no mean to verify the attendance in the numerous online trainings and webinars offered.
Organise an away day	Staff attendance Staff satisfaction survey	90 % of DG DEFIS staff	3 team events have been organised by Directorates A, C and R with more than 90% of attendance.

⁽⁵⁰⁾ DG DEFIS was created end of 2019 by the transfer from DG GROW of Directorates I and J. The staff engagement index for these two directorates was 60% in 2018 and was taken as baseline for DG DEFIS.

Output	Indicator	Target	Latest known results
Staff's emotional, cognitive and physical connection to the job, organisation and the people within it	Staff Engagement Index ⁵¹	62,5% in 2024	65%
Maintenance and animation of DG DEFIS intracomm website	Number of visits	5 .000 visits	Number of visits to DEFIS intranet (old and new intranet combined, merged since September 2024): 92 128
Publication of weekly internal newsletters 'DEFIS BUZZ'	Number of recipients and readers	- 150 readers per edition	42 editions published 315 subscribers, Average opening rate per edition: 473 (means the number of times subscribers opened a BUZZ email)
Organisation of DG DEFIS Lab seminars	- Number of editions - Number of attendees	- 6 editions - 400 attendees	6 editions of the DEFIS Labs 4 editions of DEFIS HR Labs 4 other knowledge sharing events Average attendees: 45 colleagues (both online and physically present)
Organisation of regular meeting(s) of the Director-General with the staff	- Number of meetings - Number of attendees and quality of interactions	- 4 meetings - 175 attendees each	2 editions with high rate of attendance, both physically and online.

⁽⁵¹⁾ DG DEFIS was created end of 2019 by the transfer from DG GROW of Directorates I and J. The staff engagement index for these two directorates was 60% in 2018 and was taken as baseline for DG DEFIS.

Digital Transformation and information management

Objective: DG DEFIS is using innovative, trusted digital solutions for better policy-shaping, information management and administrative processes to forge a truly digitally transformed, user-focused and data-driven Commission

Indicator 1: Degree of implementation of the digital solutions modernisation plan⁵²

Source of data: DEFIS Information Resources Manager

Baseline (2020)	Target (2024)	Latest known results (Situation on 31/12/2024)
0% (DG DEFIS created on 1/1/2020)	60 %	Staff: 87% Source: The Commission Digital Dashboard

Indicator 2: Percentage of DG DEFIS key data assets for which corporate principles for data governance have been implemented

Source of data: DG DEFIS

Baseline (2020)	Interim milestone (2023)	Target (2024)	Latest known results (situation on 31/12/2024)
0% (DG DEFIS created on 1/1/2020)	30%	50%	66.5%

Indicator 3: Percentage of staff attending awareness raising activities on data protection compliance

Source of data: DG DEFIS

Baseline (2020)	Target (2024)	Latest known results (situation on 31/12/2023)
0% (DG DEFIS created on 1/1/2020)	100% of staff	Staff: 64% Creation of a dedicated Data Protection SharePoint site

Main outputs in 2024:

Output	Indicator	Target	Latest know results
Increase staff cyber-awareness in DG DEFIS	Percentage of staff attending awareness raising activities.	Staff: 60%	Staff: 87% Source: The Commission Digital Dashboard
Update/develop IT security plans	Percentage of IT systems with a less than two years old IT security plan	Information Systems: 100%	Information Systems: 100%

⁽⁵²⁾ The European Commission Digital Strategy (C(2018)7118) calls on Commission services to digitally transform their business processes by developing new innovative digital solutions or make evolve the existing ones in line with the principles of the strategy. At the beginning of the year N+1, the Solution Owner and IT Investments Team will assess the progress made on the basis of the proposed modernisation plan. For each of the 3 solutions, a table will reflect – per principle - the progress achieved during the last year.

Output	Indicator	Target	Latest know results
Compliance attestation with IT security standards	Percentage of IT systems with Compliance attestation on GRC tool	Information Systems: 100%	Information Systems: 100%
Migration to Welcome domain	Percentage of users migrated to Welcome domain	Staff: 100%	Staff: 100%
Collaboration to implementation of AI tools	Number of users collaborating on the GPT@JRC AI tool	Staff: 10 users	New: GPT@EC open to all staff
Implementation of the corporate principles for data governance for DG DEFIS key data assets	Percentage of implementation of the corporate principles for data governance for DG DEFIS key data assets	Interim milestone: 50%	64% 4 Principles : 1- 75%, 2- 30%, 3- 75%, 4- 75%
Increase staff awareness in DG DEFIS on personal data protection rules.	Percentage of staff attending awareness raising activities.	Staff: 50%	Staff: 64% Creation of a dedicated SharePoint site
Map degree of implementation of data protection procedures	- Number of records due - Number of privacy statements due Percentage of Unit inventories	- Percentage of records prepared - Percentage of privacy statements prepared Number of Unit inventories prepared	- Records: 28,57 %: 7 records initiated in total, out of which 5 records are currently in draft, while 2 records have been validated by the DPO and published. - Privacy statements: 100% with 32 privacy statements validated by the DPC.
DG DEFIS IT systems complying with data protection rules.	Number of DG DEFIS IT systems.	Percentage of DG DEFIS IT systems complying with data protection rules.	40% (4 out of 10)
Digital Culture Promote and monitor staff's digital skills. Promote the use of online collaborative tools, incentivise and empower staff.	% of staff using Teams	Staff: 40 %	Staff: 100% as the telephony has been migrated to Teams.
Digital-Ready EU policymaking Ensure outputs related to digital consideration that are taken into account in the early stages of the design of policy initiatives.	% of staff that has followed the digital-ready policymaking course on EU Academy/EU Learn.	Staff: 5 %	>5%, workshop provided to key policy officer representatives.

Output	Indicator	Target	Latest know results
Business-driven Digital Transformation Common approach to document, automate (where possible) and rethink business processes using digital tools. Ensure the sharing and publishing of and the reusability of the data assets of the department.	% of Information Systems with innovative technology capabilities;	Information System: 5 %	Information Systems: 60% 6 out of 10 systems Source: The Commission Digital Dashboard – Innovation & AI
Seamless Digital Environment Information Systems streamlined, fit for purpose and running on supported technologies. Cloud first approach with Information Systems owned by the department.	% of Information systems owned by DG DEFIS using (any) cloud infrastructure service.	Information Systems: 30 %	Information Systems: 50% 5 out of 10 systems Source: The Commission Digital Dashboard – Cloud adoption
Green, Resilient and Secure Digital Infrastructure Improvement of the performance as captured in the risk maturity quadrant (RMQ).	Improve the values from the Risk-Maturity Quadrant.	Move to the “Recognise” quadrant	Acknowledge quadrant Source: The Commission Digital Dashboard – Risk Maturity Quadrant
Implementation of the corporate principles for data governance for [the service's] key data assets	Percentage of implementation of the corporate principles for data governance for [the service's] key data assets	Target by 2024: 80%	69% 4 Principles : 1- 75%, 2- 50%, 3- 75%, 4- 75%

Sound environmental management and example(s) of initiatives to improve economy and efficiency of financial and non-financial activities

Objective: DG DEFIS takes full account of its environmental impact in all its actions and actively promotes measures to reduce the related day-to-day impact of the administration and its work

Main outputs in 2023:

I. More efficient use of resources (energy, water, paper):

Description	Indicator	Target (2019 as baseline)	Latest known results (situation on 31/12/2024)
	Number of actions	1 action per year	Most of activities are paperless
	Number or % of staff informed/participated	Address all DG DEFIS staff	All staff informed

Description	Indicator	Target (2019 as baseline)	Latest known results (situation on 31/12/2024)
Paperless working methods at DG level (such as paperless working: e-signatories, financial circuits, collaborative working tools) and staff awareness actions to reduce office paper use in the framework of EMAS corporate campaigns and/or raise awareness about DG's office paper use in collaboration with OIB/OIL where appropriate.	% of Ares e-signed documents	establish a baseline for the year of operation	100%
		Reduce paper consumption (%)	

II. Reducing CO₂, equivalent CO₂ and other atmospheric emissions

Description output	Indicator	Target (2019 as baseline)	Latest known results (situation on 31/12/2024)
Staff awareness actions on reducing GHG emissions (such as actions on sustainable commuting during EU Mobility week and VeloWalk corporate events) and/or raise staff awareness on sustainable commuting in collaboration with OIB or OIL (e.g. availability of bike parking facilities, lockers and showers, promote the reduction of parking spaces' use amongst staff).	Number or % of staff informed/participated	Address all DG staff	All staff was informed
	% of staff participating in VeloWalk	increase of staff participating in VeloWalk	298
	% of sustainable commuters ⁽⁵³⁾ at DG/service	Increase % of sustainable commuters at DG/service (%) ⁽⁵⁴⁾	
Gradual increased use (and number of) VC ⁽⁵⁵⁾ meeting rooms for meetings with stakeholders (avoiding business trips) in the DG, in collaboration with DG SCIC, OIB and OIL.	Number of VC / hybrid meeting rooms	Number of VC /Hybrid meeting rooms	All large meeting rooms equipped
	Number of missions	Number of missions	TBC

⁽⁵³⁾ Sustainable commuting usually refers to environmentally friendly travel modes, such as. Public transport (bus, tram, subway, light rail), walking, cycling, and carpooling.

⁽⁵⁴⁾ Only for Brussels: Based on the results of the staff mobility surveys conducted by OIB.

⁽⁵⁵⁾ VC (Videoconferencing) room

Description output	Indicator	Target (2019 as baseline)	Latest known results (situation on 31/12/2024)
Analysis of DG's missions trends /patterns (based on corporate EC-staff's professional trips (missions) ⁽⁵⁶⁾), optimise and gradually reduce CO ₂ emissions (e.g. by optimising the number of participants in the same mission, promoting more sustainable travelling options, promoting videoconferencing/ virtual events as an alternative).	CO ₂ (t) emissions from DG's missions <i>(% means of transportation used)</i>	Establish a baseline for the first "normal" year of operation Reduce DG's CO ₂ emissions from missions ⁽⁵⁷⁾ (%) in comparison with 2019 data (while in DG GROW)	
Staff awareness on digital pollution and gradual change of behaviours avoiding heavy emails, encouraging the use of ICT platforms, avoiding unnecessary storage of data.	Number or % of staff informed/participated	Address all DG staff	All staff was informed/reminded through internal communication

III. Reducing and management of waste

Description output	Indicator	Target (2019 as baseline)	Latest known results (situation on 31/12/2024)
Implementation of the EC Guidelines for sustainable meetings and events , e.g. reduce/eliminate single-use plastics, gadgets/gifts.	Number of green events	At least 1 event	8 events under the Green Deal objective

IV. Promoting green public procurement (GPP)

Description output	Indicator	Target (2019 as baseline)	Latest known results (situation on 31/12/2024)
Encourage actions underpinning the use of space data, services and applications in support of the EU Green Deal.	Number of calls	Equal or above 2021 results	Increase
	Number of projects funded	Equal or above 2021 results	Increase
	Overall amount in EUR	Equal or above 2021 results	Increase

⁽⁵⁶⁾ data provided by HR.D.02

⁽⁵⁷⁾ Based on data provided by the Commission's carbon footprint analysis (by HR.D.02), including business travel.

Security of Information

Objective: DG DEFIS is ensuring a high level of protection of the sensitive and classified information it manages

Indicator 1: Percentage of staff holding a Personal Security Clearance

Source of data: LSO database

Baseline (2020)	Target (2024)	Latest known results (situation on 31/12/2024)
95% (DG DEFIS created on 1/1/2020)	95% Due to the continued arrival of new staff and the length of procedures in some Member States, the target of 100% is unachievable	93% of eligible personnel is holding a Personnel Security Clearance; 23% of PSC eligible personnel is under vetting procedure. 86% holding a Personal Security Clearance;

Indicator 2: Number of security incidents detected versus number of transfers of EUCI (on a yearly basis)

Source of data: LSO database, RCO database

Baseline (2020)	Target (2024)	Latest known results (situation on 31/12/2024)
Less than 1 per 1000	Less than 1 per 2000	No DEFIS-induced incidents in 2024

Indicator 3: Percentage of staff completing awareness and training plan for security

Source of data: European Commission

Baseline (2020)	Target (2024)	Latest known results (situation on 31/12/2024)
0% (DG DEFIS created on 1/1/2020)	100%	EUCI briefing : 98% RUE training : 48% SNC training : 58%

Main outputs in 2024:

Description	Indicator	Target	Latest known results (situation on 31/12/2024)
Enhance the protection of EU Classified Information handled by the DG.	Define DG-adapted procedures on the handling of EUCI.	Mid-2024	Guidelines on registration of R-UE/EU-R EUCI issued in Q2 2024. MoU with SG on the entry/exit of EUCI established in Q2 2024.
Strengthen the implementation of industrial security rules on classified grants & contracts.	Define internal procedure tailored to DG DEFIS environment.	Mid-2024	Internal guidelines published in 05/2024
Organise security trainings	Percentage of management attending awareness raising activities. Percentage of staff attending awareness raising activities.	Management: 40% Staff: 80%	Management: 30%. Staff: 75%
Staff security clearance	Percentage of eligible staff with personal security clearance or in the process of getting	All DEFIS eligible staff: 95 %	94.3%
Internal security reports	Circulation of regular reports	2 reports per year	2 reports issued in 2024
Installation of electronic door locks in all directorates' offices	Percentage of equipped doors	90 %	93.6%

ANNEX 11: IMPLEMENTATION THROUGH NON EU ENTRUSTED ENTITIES AND/OR EU TRUST FUNDS

Not applicable

ANNEX 12: EAMR OF THE UNION DELEGATIONS

Not applicable

ANNEX 13: DECENTRALISED AGENCIES AND OTHER EU BODIES

Name of the entity	Role of the DG	Policy area concerned	Amount paid in 2024 in €			
			Contribution to			Delegation /Contribution agreement
			Operating (admin) budget	Operational budget	Total in €	
EUSPA	Mother DG	Space		1.340.866.850,24		X
EEA		Space		26.845.000,00		X
EMSA		Space		11.911.000,00		X
FRONTEX		Space		12.719.000,00		X
		Total		1.392.341.850		